

Indian IT sector: Q1 FY27 preview

Middle-East conflict and AI-led deflation a double whammy on Q1...

Sensex: 77,764

Nifty: 24,271



Anand Rathi Share & Stock Brokers Limited (hereinafter “ARSSBL”) is a full-service brokerage & equities research firm & the views expressed therein are solely of ARSSBL & not of the companies which have been covered in the Report. This report is intended for the sole use of the Recipient. Disclosures are present in the Appendix.

Sushovon Nayak, Research Analyst

Apoorva Khandelwal, Research Associate

Harshita Parakh, Research Associate

Q1FY27 Preview: Middle-East conflict and AI-led deflation a double whammy on Q1

Q1FY27 Performance:

Q1FY27 looks like another soft quarter for Indian IT, with growth owing more to acquisitions and cost take-outs than real demand. Most top-6 firms sit near flat (-1.0% to +1.8% q/q cc; median $\sim$ 0.3% vs. 0.4% in Q4FY26), with organic growth led by TechM ($\sim$ 1%) among large caps and Persistent ($\sim$ 3%) among mid-caps (+0.6% q/q cc for mid cap IT services vs. 0.6% q/q cc in Q4FY26), as underlying weakness in manufacturing, US healthcare and the Middle East is masked by M&A and shifting deal ramps. Margins remain pressured (Top-6 median $\sim$ 16.1% vs 16.9% in Q4FY26; mid caps: 14.2% vs. 15.5%) despite INR depreciation (-3.3% q/q), with wage hikes, AI-led pricing pass-through & acquisition amortization offsetting the currency tailwind; TechM and LTM also book hedge losses, which will impact their PAT. Valuations stay overhung by potential Anthropic/OpenAI IPOs, though we favor scaled, execution-focused IT plays tied to LLM and hyperscaler partnerships. On FY27e guidance, we expect Infosys, HCLT and HCLT services to raise FY27 growth guidance to 2-4% (vs. 1.5-3.5% earlier), 1.5-4.5% (vs. 1-4%) and 2-5% (1.5-4.5%) respectively, aided by the Optimum Healthcare buy (Infosys) and HCLT's recent \$1.14bn, 5-year mega deal win.

FY27 Sector Outlook: Muted organic, aided by M&A. Tussle b/w cost of compute & Labor arbitrage may lead to revival of services in 2HFY27...

We see FY27 as an inflection point, with the market over-discounting AI risks for Indian IT amid geopolitical uncertainty. The twin headwinds of AI-driven deflation and Middle East-driven uncertainty weigh on FY27 growth expectations, and we expect Top-6 FY27 growth at 2.5-3% cc y/y, with $\sim$ 50-100bps coming from acquisitions. In our view, the market remains skeptical of back-ended AI services monetization, but as AI spend gradually shifts from the infrastructure layer to the application and deployment layers, new opportunities should emerge across legacy modernization, product engineering, Sovereign AI, agentic lifecycle management and agentic operations.

We expect enterprise software vendors to be the first beneficiaries of this transition, followed by IT services firms as enterprises move from experimentation to large-scale implementation — Indian IT is well positioned to capture value as the primary implementation and managed-services partner for enterprise software and frontier LLM providers. Overall, Q1 points to normalization rather than acceleration, with growth, margins and confidence all leaning on H2 FY27; we stay positive on the sector longer term even as near-term conditions keep rewarding scale, execution and deep industry expertise.

Top Picks & Rationale

- Among large caps, Infosys (AI partnerships, disciplined M&A) and LTM (large deal wins, superior growth visibility) are our top picks, while TechM (execution focus, Telecom moat) continues to remain a buy.
- Among mid-caps, we prefer Persistent (best-in-class execution, LTM TCV +14.4% y/y to \$2.4bn, Healthcare & BFSI to lead FY27; recent \$650Mn. TCV tech deal over 6.5 years, Nagarro acquisition to add scale and bolster European, Industrial footprint) and Mphasis (sharp focus on market-share capture and a BFSI recovery play, pipeline up 98% y/y, with the Tria Enterprise Agency Platform marking a platform-led pivot). Mastek remains our turnaround play — at $\sim$ 10x FY28e PE and $\sim$ 9% adj. EPS CAGR, with leadership changes in the US (Saurabh, ex-HLS head at Cognizant and Wipro) — we expect green shoots to emerge, while the UK business remains a compounder.

Top-6 Q1FY27: Muted topline amid stable margins despite currency tailwinds. LLM partnerships, the dawn of a new Era..

1 Tepid Revenue Growth marred by Middle-East conflicts and & AI-led deflation	• Q1FY27 is shaping up as another weak quarter for Indian IT, with near-flat growth across the top 6 (-0.8% to +1.7% q/q CC; median ~0.3% vs. 0.4% in Q4FY26), where limited expansion is driven more by acquisitions and cost take-out deals than underlying demand recovery. Growth remains weak beneath the surface, with deal ramp-ups being delayed or right-shifted and persistent softness in manufacturing, US healthcare, and the Middle East.. — Tech Mahindra likely tops the pack at ~1% cc, though ~50bps is lumpy related-party work (Pininfarina). — Infosys' 1-1.5% reported masks just ~0-0.5% organic, with ~100bps from the two-month Stratus/Optimum consolidation and a higher base plus manufacturing softness weighing — We expect Infosys to raise its guidance range to 2-4% (vs. 1.5%-3.5% earlier), with inorganic contribution of ~150bps (vs. 25bps earlier) — We expect HCLT's Q1 revenue growth to be in the range of -0.5% to 0% for IT svcs and -1 to -1.5% for overall business. — We expect HCLT & HCLT services to raise FY27 growth guidance to 1.5-4.5% (vs. 1-4%) and 2-5% (1.5-4.5%) respectively, aided by the recent \$1.14bn, 5-year mega deal win. — TCS sits at 0-0.5%; while HCLT (-0.5 to 0% IT services), Wipro (-2.2 to -0.2% cc, ~-1.2% at midpoint vs -1.0% guidance, as ~20bps of AlphaNet inorganic slips to Q2FY27) and LTM (~0.2-0.3% vs the ~1% we had expected, on Middle East and L&T license seasonality)
2 Margins remain subdued as AI-productivity pass-throughs continue	• Despite rupee depreciation of ~3.3% q/q, margins are likely to stay under pressure (expectations of median 16.3% vs. 16.9% in Q4FY26), with wage hikes, alongside the continued pass-through of AI-led productivity savings to clients & acquisition amortization costs being the main factors — TCS wage hike impact expected to be ~150-200bps q/q, while deferred to Q2/Q3 at TechM. LTM may have ~100bps wage hike impact, while maintaining steady margins vs. Q4FY26 — AI productivity pass-through continues to bleed into margins alongside acquisition amortisation (~70bps annualized at Infosys, holding it at ~20.5-21%), even as currency tailwinds cushion the offshore-heavy names (LTIM steady at ~15% despite hikes; possible upside at HCLT given the roll-off of Q4's 120bps restructuring charge)
3 Frontier Labs launching their Services Partner Programs	• Anthropic and OpenAI have both launched tiered partner ecosystems (Anthropic: Registered to Global Premier; OpenAI: Select to Elite) with large certification targets and investments, aiming to turn frontier models into enterprise platforms via AWS/Salesforce/SAP-style partner-led GTM, reflecting the need for external partners to scale deployment. • Partner access is increasingly governed by scorecards covering certified talent, production deployments, co-sell capability, AI specialization, and customer references, with OpenAI additionally embedding "forward deployed" experts alongside engineering teams to accelerate adoption. • Both firms are institutionalizing systems integrators as core execution channels while competing for the same limited SI talent pool. • This reinforces that AI monetization is constrained more by deployment capacity than model capability, shifting value capture toward the services layer and creating a structural tailwind for large IT services firms where scale, domain expertise, and certifications become key procurement signals.
4 Valuations	• We continue with our previous methodology of ascribing a 50% weight to DCF and an equivalent weight to the multiple method. • Basis FY27e/28e mkt cap weighted P/E, the Top-6 with a 7.7% FY26-28e EPS CAGR, trade at 14.5x/13.6x — at a discount of 19%/24% respectively to the past 15-yr average 1-yr-forward P/E of 17.8x.

Midcap IT Q1FY27: Scale a key differentiator, as tech exposed cos face higher revenue deflation. Auto ER&D faces its moment of reckoning...

1

Tepid Revenue Growth marred by Middle-East conflicts and AI-led deflation

- A similar story is playing out among mid-caps as Q1 is clouded by the Middle-East impact and AI deflation due to productivity pass-throughs, especially in the Technology vertical (avg. mix ~30% vs. ~14% for large caps). Q1 growth is expected to be 0.6% q/q cc for mid cap IT services in line with Q4FY26.
 - Persistent (+3.3% q/q cc) continues to outperform, further bolstered by its net-new \$650mn (6.5 yrs) deal with a US tech client is a green shoot (~6-7% of revenues)
 - LatentView is expected to decline 1.3% q/q cc with revenues impacted by a mix of insourcing and productivity related pass-throughs in its BFSI (16% mix) & Technology (55%) verticals.
 - Happiest Minds (+3.9% q/q cc) benefits from some Artha revenues that were right shifted from Q4FY26 (~2% impact).
 - Mastek (+0.6% q/q cc) is facing headwinds due to both Middle-East exposure and AI-led deflation in tech vertical (~12% mix each)

2

Margins remain subdued as AI-productivity pass-throughs continue

- Margins stay under pressure (expectations of median 14.2% vs. 15.5% in Q4FY26), due to continued pass-through of AI-led productivity savings to clients & acquisition amortization costs being the main factors, partly cushioned by a weaker rupee (-3.3% q/q).

3

European Auto OEM weakness puts ER&D in crosshairs

- **European OEMs remain under significant pressure**, with Volkswagen, BMW, Mercedes-Benz and Stellantis cutting investments, restructuring operations, reducing costs, and rationalizing vehicle platforms amid weak China demand, tariffs and margin compression -- an increasingly negative backdrop for ER&D spending.
 - **Volkswagen** is planning to cut 5-yr investment by ~15% to ~€130bn alongside up to ~100,000 job cuts after Q1 net profit fell ~28% y/y.
 - Similarly, **BMW** cut full-year automotive EBIT margin guidance to 1-3% (from 4-6%) and forecasts a significant group PBT decline, hit by a 10.0% Q1 China delivery drop
 - **Mercedes-Benz** guided its EBIT margin down to 3-5% and targeted a 10% per-unit production-cost cut by 2027 following an FY25 profit drop of ~50%.
 - Although, **Stellantis** has stabilized with a €0.4bn Q1 profit after a \$26bn 2025 loss, relying on a €6bn cost-cutting program and major brand portfolio rationalization — a signal of spend/programme rationalisation.
- Near-term OEM stress is largely ER&D-insulated in the US (Ford/GM) and already priced in for Japan (Honda), leaving forward demand pressure highly concentrated in the Europe/Cariad ecosystem — a headwind for KPIT. KPIT's 100% automotive exposure makes it vulnerable to immediate European OEM budget cuts, creating a gap where immediate revenue contraction precedes any potential medium-term offshoring upside. However, the same cost pressures driving OEM spending cuts are expected to accelerate offshoring, software outsourcing and engineering transformation over the medium term, supporting KPIT's long-term growth.

4

Valuations

- We continue with our previous methodology of ascribing a 50% weight to DCF and an equivalent weight to the multiple method.
- Basis FY27e/28e mkt cap weighted P/E, the mid-cap peers trade at 20.8x/17.8x, with a 13.6% FY26-28e EPS CAGR. This is around the past 10-yr average 1-yr-forward P/E of 18.9x.

Top-6 Valuations: Limited downside from these levels, however upside contingent upon growth pick-up. Infy, LTM & TechM top picks...

Valuation summary							ROE (%)	ROCE (%) (Post-Tax)	ROIC (%) (Post-Tax)	Historical One Yr. Fwd. P/E		P/E (x.)				FY27e
S.No.	Company	CMP (Rs.)	Market Cap. (\$ Bn.)	EV (\$ Bn.)	Target	Upside / (Downside)	FY26	FY26	FY26	L10Y	L15Y	FY26	FY27e	FY28e	FY26-FY28e EPS CAGR (%)	PEG (x.)
1.	TCS	2,094	80.6	75.0	2,464	17.7%	47.7%	43.1%	77.2%	22.6x.	20.3x.	14.4x.	13.5x.	12.7x.	6.4%	2.1x.
2.	Infosys	1,047	45.2	40.5	1,285	22.7%	31.2%	26.6%	47.4%	19.9x.	17.5x.	14.1x.	13.4x.	12.6x.	5.6%	2.4x.
3.	HCL Tech	1,139	32.9	29.6	1,292	13.4%	25.2%	20.1%	31.1%	16.2x.	14.6x.	17.8x.	16.1x.	15.3x.	7.9%	2.0x.
4.	Wipro	176	19.6	16.9	181	2.7%	15.4%	9.9%	19.6%	17.5x.	16.0x.	13.8x.	12.8x.	12.4x.	5.2%	2.5x.
5.	TechM	1,407	13.3	12.3	1,695	20.4%	15.7%	11.9%	15.9%	17.4x.	14.8x.	24.9x.	18.7x.	16.7x.	22.2%	0.8x.
6.	LTM	3,757	11.9	10.2	4,337	15.4%	21.5%	17.3%	36.8%	25.5x.	NA	20.4x.	18.2x.	16.5x.	10.8%	1.7x.
	Overall					Mkt. cap weighted average >>				20.3x.	17.8x.	15.8x.	14.5x.	13.6x.	7.7%	2.1x.

Buy

Hold

- We continue to see value in Lcaps with their FY28e multiples trading at ~25% discount to their 15yr avg of the historical 1yr. Fwd. Our top-picks are Infosys, TechM & LTM.
- **Infosys:** Disciplined capital allocation, LLM (Anthropic, OpenAI) & Agentic Coding (Cursor, Cognition.ai) partnerships, AI / Cloud platforms (Topaz, Cobalt, Topaz Fabric) validate the agile execution focus of the company. We believe CMP prices negative terminal growth of -2.5%, providing valuation comfort.
- **TechM:** Execution focus under the incumbent CEO Mr. Mohit Joshi, coupled with the telecom moat (~33% of revenues) driving mega deal wins in Orange, Telefonica, to drive operating leverage amid margin expansion focus
- **LTIM:** Execution discipline under new CEO Mr. Venu, strong agentic AI platform focus (Blue Verse) with the highest large deal wins in FY26 support our investment rationale. We believe the proposed Randstad technology acquisition, which was earlier led by Venu and provides European exposure to LTM, albeit at lower margins would benefit from the CEO's execution focus to drive integration, deep knowledge of the asset and potential synergies (offshoring, Aerospace and Defense increased wallet share)

Note: All the prices considered are as of 3rd July 2026;
Source: NSE, Anand Rathi estimates, company data.

Mid Cap Valuations: Growth adjusted multiples favor scaled execution focused plays. BPOs & Auto ER&D face peak pessimism...

Valuation summary								ROE (%)	ROCE (%) (Post-Tax)	ROIC (%) (Post-Tax)	Historical One Yr. Fwd. P/E		P/E (x.)				FY27e
S.No.	Company	CMP (Rs.)	Market Cap. (\$ Bn.)	Net Debt / (Cash) (\$ Bn.)	EV (\$ Bn.)	Target	Upside / (Downside)	FY26	FY26	FY26	L10Y	L15Y	FY26	FY27e	FY28e	FY26-FY28e EPS CAGR (%)	PEG (x.)
1.	Persistent	4,842	8.1	(0.3)	7.8	5,884	21.5%	24.8%	22.2%	32.5%	29.5x.	23.6x.	40.7x.	31.3x.	26.3x.	24.3%	1.3x.
2.	Mphasis	2,294	4.7	(0.2)	4.5	2,776	21.0%	18.5%	14.2%	21.4%	20.6x.	16.4x.	23.4x.	20.8x.	19.1x.	10.8%	1.9x.
3.	Intellect Design Arena	787	1.2	(0.1)	1.1	854	8.5%	12.7%	10.3%	15.3%	49.2x.	49.2x.	32.7x.	23.1x.	19.4x.	29.8%	0.8x.
4.	Birlasoft	283	0.8	(0.3)	0.6	331	16.9%	15.8%	13.0%	30.1%	16.5x.	12.7x.	14.7x.	15.2x.	13.3x.	5.2%	2.9x.
5.	Sonata Software	277	0.8	0.0	0.8	374	35.1%	27.3%	18.0%	29.3%	17.2x.	16.2x.	16.5x.	15.4x.	13.8x.	9.6%	1.6x.
6.	Happiest Minds	350	0.6	(0.0)	0.5	428	22.4%	12.5%	8.0%	17.5%	NA	NA	19.1x.	16.7x.	15.1x.	12.4%	1.3x.
7.	Latent View Analytics	281	0.6	(0.1)	0.5	285	1.5%	12.3%	7.7%	33.5%	NA	NA	26.4x.	24.7x.	20.8x.	12.6%	2.0x.
8.	Mastek	1,613	0.5	(0.1)	0.5	2,067	28.1%	16.5%	12.9%	15.9%	14.4x.	14.2x.	11.8x.	11.0x.	10.0x.	8.6%	1.3x.
	IT Services (mcap weighted)		17.4								26.6x.	23.9x.	31.0x.	25.0x.	21.6x.	18.1%	1.5x.
9.	FSL	241	1.8	0.2	2.0	305	26.9%	15.2%	11.4%	11.8%	15.9x.	12.3x.	22.9x.	16.7x.	14.5x.	25.8%	0.6x.
	BPO (mcap weighted)		1.8								15.9x.	12.3x.	22.9x.	16.7x.	14.5x.	25.8%	0.6x.
10.	LTTS	3,215	3.6	(0.4)	3.3	3,224	0.3%	22.2%	16.8%	30.3%	29.6x.	NA	26.1x.	23.3x.	20.9x.	11.8%	2.0x.
11.	KPIT	559	1.6	(0.1)	1.5	653	16.9%	33.2%	24.2%	40.4%	39.5x.	NA	22.4x.	21.5x.	17.8x.	12.3%	1.7x.
	ER&D (mcap weighted)		5.3								29.9x.	NA	24.9x.	22.7x.	19.9x.	11.9%	1.9x.
	Overall Mid Cap IT (median)										18.9x.	16.2x.	22.9x.	20.8x.	17.8x.	13.6%	1.8x.

- Scaled Execution focused plays to be top beneficiaries. Our top-picks are Persistent and Mphasis.**

 Buy
  Hold
- Persistent's** highest sector revenue growth of ~15%, with superior AI platform focus (Sasva, iAura etc.) & strong execution focus. While proposed Nagarro acquisition would provide increased European focus (~22% vs. 9% pre-acq), higher TAM (Industrials/Auto, retail), growth & margin expansion are key moniterables in the value creation plan
- Mphasis:** Laser focus on market share capture & BFSI (~70% mix) recovery play with pipeline up 98% y/y, Enterprise Agency Platform - Tria launched for a platform-led pivot

Top picks & Notable mentions...

Large caps

Infosys

Infosys' ~\$15bn LTM large deal TCV, anchored by wins like the NHS contract, provides strong revenue visibility. Consistent q/q cc growth (6 of last 8 quarters) and improving discretionary demand in FS and EURS support a healthier FY27 growth outlook despite macro uncertainties

LTM

Stable ~15% margins despite wage hikes, supported by currency tailwinds, alongside significant cash reserves, LTM remains a top pick, driven by strong large-deal momentum, BFSI recovery, industry-leading growth visibility, and sustained 6% FY27 cc growth

TechM

TechM offers an attractive turnaround opportunity, supported by telecom stabilization, improving large-deal quality, 5-year mega deal with Orange Business, and multiple margin levers from AI-led productivity, fixed-price execution, and operating leverage.

Key Monitorables

- Client-specific discretionary spend cuts.
- GenAI productivity pass-through impacting pricing.
- Delay in the recovery of discretionary IT spending
- Broader market backdrop still difficult, with budget pressure, macro volatility and geopolitical issues still present

Mid caps

Mphasis

Driven by strong deal momentum (\$2.1bn TTM TCV), platform-led execution (Neo IP + Continuum AI integration) and improving profitability through outcome-based pricing.

Persistent

The company is well-positioned with strong AI-led execution-SASVA now integrates natively with Claude, GitHub Copilot, and OpenAI Codex, accelerating BFSI and healthcare demand, and confidence in achieving a \$2bn FY27 revenue run-rate.

Mastek

Offers an attractive risk-reward at trough valuations, supported -UK deal wins driving mid-single-digit revenue CAGR in FY26-28e, EBIT margin improvement (13.9% to 14.5% over FY26-28e), lower high-cost onsite mix, and operating leverage as revenue recovers.

Key Monitorables

- Execution and ramp-up of large UK government deals (FCA, ATLAS, HADES) and conversion of the public-sector pipeline.
- US growth recovery under the new leadership team and traction in enterprise accounts.
- AI-led productivity benefits translating into sustained margin expansion and higher revenue per employee

Accenture's ("ACN") Q3 results dampen spirits: Top-end of FY revenue guide trimmed as bookings soften

Accenture's Q3 FY26 results triggered its sharpest-ever post-results decline (~18%) despite in-line revenue growth of 3% cc, as Wall Street focused on a **100bps reduction in the upper end of FY26 growth guidance (now 3-4% vs. 3-5% earlier; 3% organic vs. 3.5% earlier at midpoint) & a 6.5% miss in bookings (\$19.3bn, -3% cc)** with Managed Services bookings down ~15% y/y, reinforcing concerns that enterprise discretionary spending remains subdued despite strong AI adoption.

1. Management acknowledged that **client technology budgets are not expanding in response to AI; rather, enterprises are reallocating existing spend toward AI initiatives**. This suggests that AI is currently redistributing, rather & enlarging, the wallet, explaining Accenture's increasing reliance on M&A, cybersecurity expansion & mid-market penetration to supplement organic growth. However, the weakness was concentrated in Managed Services bookings, while Consulting bookings grew 13% YoY and exceeded expectations. This is a constructive leading indicator that discretionary spending and project conversion may improve through FY27, even if near-term demand remains uneven
2. **Two negative surprises:** The guidance cut reflected both company-specific and macro factors. The **Middle East conflict created an estimated ~\$100mn revenue impact and delayed roughly ~\$400mn of sales opportunities across the Middle East and Europe**, while the bookings miss was driven primarily by the postponement of a few large Managed Services contracts into FY27 rather than broad-based demand deterioration.
3. **OT cybersecurity pivot:** ACN is acquiring a majority stake in Dragos (vendor-neutral OT threat intelligence/detection platform) plus all of runZero (OT vulnerability discovery/asset visibility) and NetRise (firmware-level visibility) at a **combined enterprise valuation of ~\$4.175Bn ~half its entire ~\$9Bn FY26 M&A spend**
4. **Rising acquisition-spend intensity:** ACN's FY26 acquisition capex guide has been ratcheted up sharply across the year: ~\$3Bn (Q1FY26) to ~\$5Bn (Q2FY26) to ~\$9Bn (Q3FY26), pushing acq/capex as a share of FCF-guide from ~30% to ~81%. With management also signaling it will tap the long-term debt market to fund the elevated M&A pipeline, ACN is increasingly funding a product/platform-led, non-FTE growth strategy inorganically, an acknowledgement that organic growth alone is not delivering the desired trajectory.

We view the results as a modest near-term negative for Indian IT services. The quarter points to stabilising demand rather than a meaningful recovery, and argues against expectations of a sharp near-term discretionary spending rebound. However, the continued strength in Consulting bookings, large AI transformation programs and Accenture's confidence in the structural AI opportunity reinforce our view that scaled IT services vendors remain best positioned to capture AI-led spending as enterprise deployments move from experimentation to production.

AI Investment Cycle: What Nvidia, Oracle and Snowflake Signal for Indian IT

1 Nvidia

USD 82bn

Q1FY27 revenue: +85% y/y

- > Hyperscaler capex ~USD 1tn by CY27
- > AI infra spend USD 3-4tn by decade-end



Agentic AI is the next wave, and enterprises must build orchestration layers, tool integrations, governance and AI-ready data atop core compute.

Indian IT read-through

Opportunity for IT Services doesn't end at deployment as agentic systems in production will require continuous monitoring, retraining, and governance, creating a recurring managed services layer akin to the cloud ops revenue stream that followed the cloud migration wave.

2 Oracle

USD 90-95bn

FY27 capex guidance

- ~USD 40bn fresh capital planned (USD 48bn raised in FY26)
- > Negative FY26 FCF



FY26 capex came to \$55.7bn (vs. \$50Bn guidance), with FY27e capex at \$90-95Bn (~\$70Bn, net capital outlay) - while FY26 FCF came in at negative \$23.7bn and in the same breath, Oracle announced plans to raise ~\$40bn in additional debt and equity in FY27 (including \$20Bn equity raise announced), having already raised \$48bn in FY26 - a company maxing out its balance sheet before monetisation has arrived

Indian IT read-through

Constructive for Indian IT as AI exposure without balance-sheet risk, backed by strong cash generation, high ROEs and deep ecosystem partnerships. Beneficiaries of the move from AI installation to monetization.

3 Snowflake

+34% YoY

Q1FY27 product revenue

- > FY27 guide raised to ~31%
- > New 5-yr USD 6bn AWS deal



Q1 FY27 Product revenue growth accelerated to 34% YoY, and FY27 guidance was raised to \$5.84bn (~31% growth), NRR improved to 126%, and a new 5-yr \$6bn partnership with Amazon Web Services. Snowflake is seeing a fresh wave of legacy data migrations and data modernization projects, expanding its Snowflake usage.

Indian IT read-through

Positive for Indian IT vendors tied to Snowflake. As Snowflake's customer base grows larger, and more customers spend over \$1 million annually, more migration, AI deployment, and data engineering work naturally flows toward these partners.

Tokens emerge as a major cost center for Enterprises...

Where enterprise AI burns the most tokens, why the bill only compounds and why **the system integrator that meters the tokens captures the value.**

The major points of token consumption take place during the application/software development work and on the client side during inferencing - **the build and run layers IT services own**

BUILD : internal app dev (agentic coding)

>50%

of all LLM tokens are now coding, up from ~11% in late-2025

1-3.5mn

tokens per agentic coding task, incl. retries & self-correction

RUN : production agents & apps (inference)

5-30x

the tokens of a single chat call, per agentic task

30-70k

tokens per support-style agent ticket (5-8 model calls)

Of every \$1 spent on coding tokens, only **\$0.18 ships**. So basically, 82% is burned before it reaches production:



Build-side token-leakage split aggregated across ~2,444 companies (one developer-platform dataset)

WHY TOKEN COST ONLY RISES

- Per-token cost has fallen ~1,000× since 2023, yet total token volume has risen even faster.
- China alone: ~100bn tokens/day in early-2024 has risen to ~140 trillion now.
- Agents generate their own workload leading to reasoning models burning far more per task.
- Backdrop: Anthropic ARR of ~\$9bn is now ~\$45bn, almost all pay-per-token.

HOW IT IS IMPACTING BUDGETS

- Pricing flipped from SaaS seats to metered tokens as Copilot went usage-based (Jun-26); AI prices +20-37%.
- Costs compound non-linearly: query → workflow → agent → agent network.
- Uber burned its ~\$3.4bn 2026 AI budget in four months; Microsoft is dropping internal Claude Code.
- Gartner estimates that 40%+ of agentic projects will be scrapped by 2027 on cost / weak ROI.

Our view- This is a win for IT-SERVICES

- Enterprises can't meter token sprawl themselves, so they hand it to the integrator.
- Cognizant's A0-A3 tokenised rate card now runs clients' AI-ops + FinOps and meters their inference.
- EPAM: a token 'trading desk' as a profit centre; TechM: 'service-token' pricing; Coforge: agentic governance.
- Net: a client cost turns into sticky, recurring SI revenue the rebuttal to 'AI commoditises IT'.

Cognizant AI Forum | Key Takeaways (June 5, 2026)

1	AI Expands IT Services TAM 5-6x.	• Cognizant believes AI is expanding the addressable market from ~US\$1tn of traditional IT services spend to ~US\$5-6tn. • The company argues that the distinction between IT services and enterprise operations is blurring as AI agents automate operational work historically performed by humans. This shifts the focus from technology budgets to the much larger enterprise operations spend pool.
2	AI-Native Commercial Models Go Live	• Cognizant has deployed its A0 (all-human effort), A1 (human effort audited by machine), A2 (machine effort audited by human) and A3 (autonomous) AI rate-card framework (human-led to autonomous delivery) in live client engagements and large transactions. The framework enables pricing based on the level of AI involvement rather than purely on FTEs or effort hours. • This represents an early industry move toward outcome-based and AI-consumption-based pricing models
3	TriZetto Adopts Agentic Consumption Pricing	• In parallel, the company has pivoted the monetisation model for its TriZetto healthcare platform from a per-member-per-month construct to a usage-based model that charges for agentic consumption of the platform's open interfaces, following the launch of headless TriZetto that allows external AI agents to access the underlying platform programmatically. • The shift reflects a broader move from seat-based software pricing toward AI-agent consumption economics.
4	AI Enhancing Sales Productivity	• Cognizant has disclosed that its context engineering deployment product has generated ~\$200mn of incremental sales pipeline to date and is projected to reach ~\$1bn by year-end. • This is the first quantified disclosure of agentic AI productivity gains in the sales function from a top-five global IT services firm. The use case - synthesising knowledge from sales, delivery, and support interactions to surface revenue opportunities that individual employees could not identify on their own. The implication is that revenue growth can increasingly decouple from headcount growth on the GTM side as well, not only on the delivery side.
5	Preparing Enterprises for AI	• Management views cybersecurity and legacy modernization as critical prerequisites for enterprise AI deployment. AI-enabled modernization is significantly reducing migration costs, including mainframe refactoring efforts. • As a result, security and modernization spending could grow ahead of broader agentic AI adoption programs.
6	Supports a Broader Talent Pyramid	• Cognizant increased fresher hiring to ~20,000 employees, up from ~12,000 in the prior year. The company believes AI agents will augment, rather than replace, entry-level engineers within delivery teams. • This challenges the view that AI will structurally flatten the traditional IT services talent pyramid.

Capgemini: Capital Market's Day | Key Takeaways (May 27, 2026)

1	AI Expands Services Opportunity Beyond Traditional IT Spend	• Mgmt. acknowledged productivity-led pricing pressure in some traditional services while arguing that AI expands the overall addressable market through new AI-led services. • The company expects its Business & Technology Services TAM to grow 4-5%, through a combination of traditional IT demand and new Agentic AI-led services opportunities. • This reinforces the view that AI is creating new revenue pools beyond conventional application development and maintenance.
2	Modernization Becomes the Key AI Demand Driver	• Management highlighted that legacy technology debt is the biggest barrier to enterprise AI adoption, making modernization a prerequisite for AI deployment. This is expected to drive a multi-year cycle of spending across applications, cloud, data, ERP modernization, and platform transformation. • The commentary supports the thesis that Indian IT firms will increasingly benefit from AI-driven modernization programs before large-scale agentic deployment ramps up.
3	Shift from Project-Based Services to Agentic Operations	• Capgemini introduced the concept of an "Agentic Control Plane", focused on governing, orchestrating, and managing AI-agent workforces across enterprises. • The model shifts increasingly complements implementation projects with recurring managed services and operational ownership. • This signals a structural evolution of IT services from technology delivery toward ongoing management of AI-enabled enterprise operations.
4	BPO Repositioned as a key AI monetisation platform	• Capgemini's acquisition of WNS reinforces the view that operational services will become a key monetization layer for enterprise AI, with vendors increasingly owning business workflows instead of only delivering technology projects.
5	Growth Outlook Signals Gradual AI Adoption	• Capgemini maintained CY26 growth guidance of 6.5-8.5%, with a significant contribution from acquisitions, while targeting 3.5—5.5% organic growth over the medium term. • Despite strong confidence in the long-term AI opportunity, the growth framework suggests enterprise adoption remains evolutionary rather than a near-term spending boom. • For Indian IT, this supports a view of steady demand improvement driven by modernization and AI deployment, rather than a sharp discretionary recovery.

Stock Price Performance: Last 12-month & 3-year returns

Still hurting from the AI-induced bloodbath...

3-mth, 6-mth, 9-mth, 12-mth & 3Y performances of stocks, Nifty IT, Nifty

	3-Months	6-Months	9-Months	12-Months	3Y
TCS	(15.4)%	(34.9)%	(30.8)%	(38.4)%	(36.9)%
Infosys	(19.8)%	(34.8)%	(30.0)%	(35.3)%	(22.3)%
HCLT	(18.8)%	(29.1)%	(21.6)%	(33.5)%	(4.7)%
Wipro	(10.8)%	(33.1)%	(27.9)%	(34.1)%	(10.6)%
TECHM	(2.7)%	(11.7)%	(3.3)%	(15.7)%	20.0%
LTIM	(12.8)%	(38.0)%	(29.7)%	(29.4)%	(28.3)%
Accenture	(31.0)%	(50.2)%	(45.7)%	(54.9)%	(55.7)%
Nifty IT	(10.4)%	(27.4)%	(22.1)%	(29.4)%	(8.1)%
Nifty	5.7%	(7.5)%	(3.1)%	(4.5)%	25.1%

	3-Months	6-Months	9-Months	12-Months	3Y
Mphasis	2.7%	(18.0)%	(18.0)%	(20.3)%	22.0%
PSYS	(11.8)%	(24.5)%	(11.0)%	(21.3)%	92.9%
LTTS	(4.2)%	(27.4)%	(24.2)%	(26.0)%	(20.0)%
KPIT	(19.6)%	(51.5)%	(51.9)%	(55.7)%	(47.1)%
FSL	7.5%	(28.6)%	(26.3)%	(34.7)%	83.9%
SonataSW	19.7%	(22.9)%	(25.0)%	(31.6)%	(43.6)%
BirlaSoft	(22.5)%	(33.9)%	(20.6)%	(35.5)%	(20.1)%
Mastek	8.8%	(22.8)%	(24.0)%	(33.1)%	(19.6)%
Intellect	20.7%	(18.7)%	(19.3)%	(30.9)%	29.5%
Happiest Minds	(9.2)%	(24.4)%	(28.7)%	(45.6)%	(64.9)%
LatentView	(6.6)%	(38.6)%	(34.0)%	(37.1)%	(26.2)%

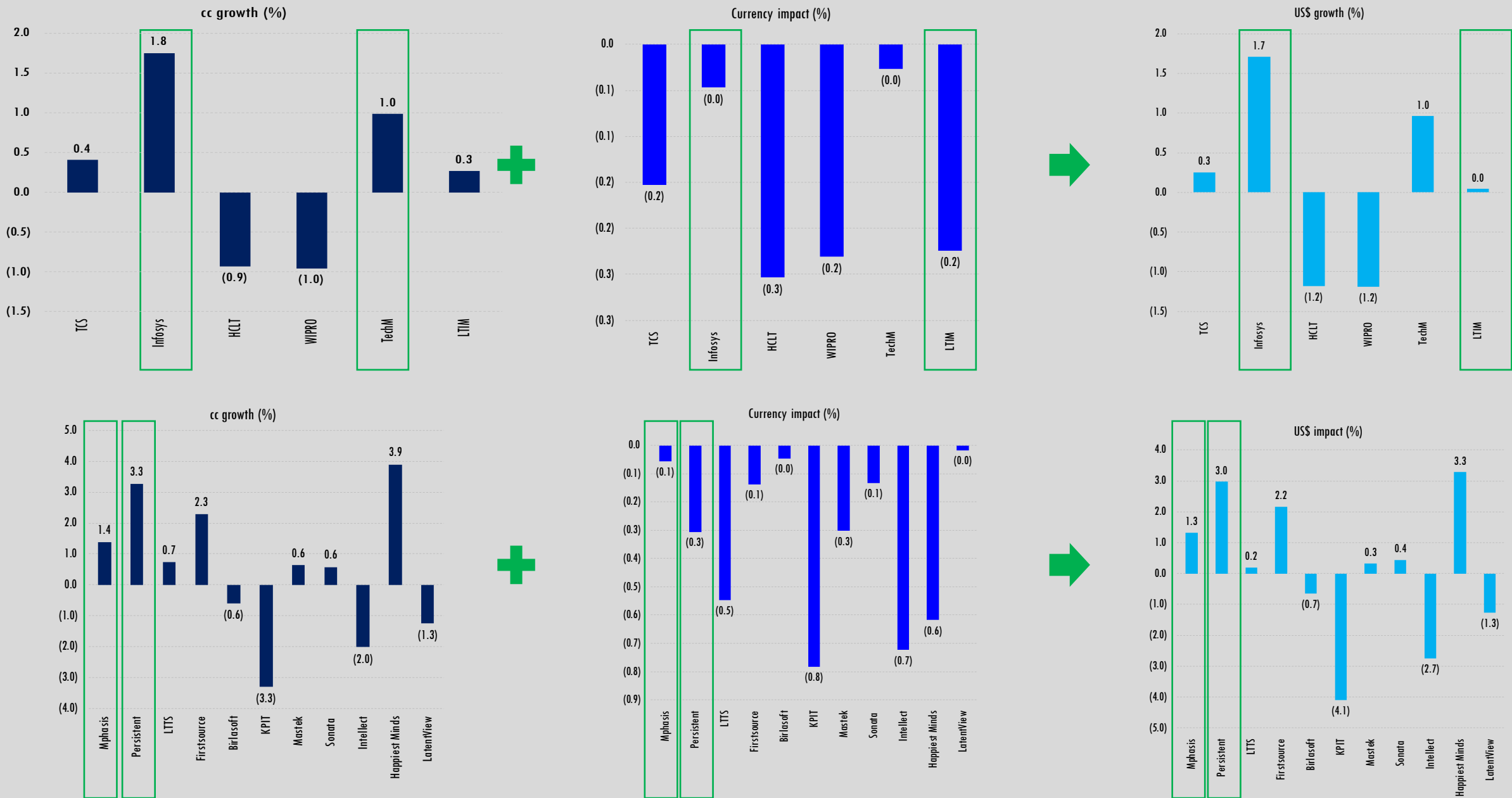
- The Nifty IT has fallen ~27% in last 6-Months, with large cap stocks falling 12-38%.
- This sell-off was a result of Anthropic's launch of Claude Co-work plug-ins & update in Claude Code's ability which now understands the legacy COBOL code & helps in its modernization significantly, compressing deal timelines + Accenture's weak Q3 print + investor concerns regarding the direct and indirect impact of the Middle-East war -- triggering a broad repricing of IT services & SaaS companies

Q1 FY27 estimates preview

	TCS	Infosys	HCLT	WIPRO	TechM	LTIM	MPHL	Persistent	LTTS	FSOL	BSOFT	KPIT	Mastek	Sonata	Intellect	Happiest M	LatentView
Sales (\$ m)	7,640	5,126	3,638	2,619	1,641	1,223	469	449	306	289	144	177	104	83	89	67	31
% chg. Q/Q CC	0.4	1.8	(0.9)	(1.0)	1.0	0.3	1.4	3.3	0.7	2.3	(0.6)	(3.3)	0.6	0.6	(2.0)	3.9	(1.3)
% chg. Y/Y CC	2.7	2.9	2.6	1.2	4.0	6.4	7.3	16.6	(7.7)	12.3	(3.7)	(0.7)	(5.8)	(1.9)	2.1	6.2	17.1
% chg. Q/Q	0.3	1.7	(1.2)	(1.2)	1.0	0.0	1.3	3.0	0.2	2.2	(0.7)	(4.1)	0.3	0.4	(2.7)	3.3	(1.3)
% chg. Y/Y	3.0	3.7	2.6	1.2	4.9	6.0	7.2	15.2	(8.6)	11.6	(4.2)	(0.2)	(3.3)	1.2	8.2	4.3	12.3
Sales (Rsm)	7,23,313	4,85,272	3,35,787	2,39,502	1,55,316	1,15,773	44,377	42,503	29,014	27,369	13,666	16,798	9,831	7,827	8,406	6,355	2,935
% chg. Q/Q	2.3	4.6	(1.2)	(1.2)	3.0	2.5	3.0	4.8	1.5	4.7	1.3	(1.8)	4.8	0.4	(0.8)	5.2	1.7
% chg. Y/Y	14.0	14.8	10.6	8.2	16.3	17.6	18.8	27.5	1.2	23.2	6.4	9.2	7.5	11.8	19.8	15.6	24.3
EBITDA (Rsm)	1,86,977	1,20,818	63,620	47,245	26,810	19,992	9,037	7,960	5,361	4,812	1,969	3,122	1,552	1,409	1,817	1,090	613
% chg. Q/Q	(3.0)	8.2	(5.2)	(3.4)	4.5	1.3	3.9	3.7	2.8	4.6	(21.0)	(11.6)	2.9	(10.5)	(0.9)	5.2	(9.2)
% chg. Y/Y	10.8	21.5	5.4	11.4	38.5	21.2	28.3	30.1	15.9	37.3	24.0	(3.6)	13.0	21.6	26.8	15.9	21.6
EBITDA margin (%)	25.9	24.9	18.9	19.7	17.3	17.3	20.4	18.7	18.5	17.6	14.4	18.6	15.8	18.0	21.6	17.1	20.9
chg. Q/Q	-142 bps	83 bps	-81 bps	-46 bps	25 bps	-20 bps	18 bps	-20 bps	23 bps	-2 bps	-407 bps	-206 bps	-29 bps	-220 bps	-4 bps	0 bps	-250 bps
chg. Y/Y	-75 bps	138 bps	-94 bps	57 bps	277 bps	51 bps	150 bps	38 bps	234 bps	181 bps	205 bps	-246 bps	77 bps	144 bps	119 bps	5 bps	-48 bps
EBIT (Rsm)	1,72,214	1,03,018	52,482	39,887	21,951	17,330	7,479	6,889	4,487	3,605	1,770	2,295	1,365	1,204	1,227	866	507
% chg. Q/Q	(3.6)	5.7	(6.6)	(4.2)	5.3	1.4	4.4	4.5	3.2	4.8	(23.0)	(15.4)	3.2	(12.2)	(1.5)	5.6	(11.0)
% chg. Y/Y	11.0	17.0	6.2	12.2	48.6	23.2	30.6	33.0	17.7	42.4	28.2	(12.1)	14.8	26.6	28.9	20.9	24.3
EBIT margin (%)	23.8	21.2	15.6	16.7	14.1	15.0	16.9	16.2	15.5	13.2	13.0	13.7	13.9	15.4	14.6	13.6	17.3
chg. Q/Q	-147 bps	23 bps	-91 bps	-53 bps	31 bps	-17 bps	21 bps	-4 bps	24 bps	1 bps	-409 bps	-219 bps	-22 bps	-221 bps	-12 bps	5 bps	-247 bps
chg. Y/Y	-65 bps	41 bps	-65 bps	60 bps	307 bps	68 bps	152 bps	68 bps	216 bps	177 bps	221 bps	-330 bps	89 bps	180 bps	103 bps	60 bps	-1 bps
PBT (Rsm)	1,70,581	1,13,173	53,990	44,617	19,717	19,300	7,283	7,392	4,862	2,990	1,708	2,218	1,443	1,249	1,523	829	662
Net income (Rsm)	1,27,392	80,273	40,051	33,485	14,372	14,284	5,405	5,721	3,560	2,302	1,213	1,597	1,087	924	1,126	620	496
% chg. Y/Y	(0.2)	16.0	4.2	0.5	26.0	13.9	22.4	34.6	12.8	35.9	13.9	(7.1)	18.1	30.7	19.2	8.5	(1.8)
Net Margin %	17.6%	16.5%	11.9%	14.0%	9.3%	12.3%	12.2%	13.5%	12.3%	8.4%	8.9%	9.5%	11.1%	11.8%	13.4%	9.8%	16.9%

Sonata corresponds to the International IT business

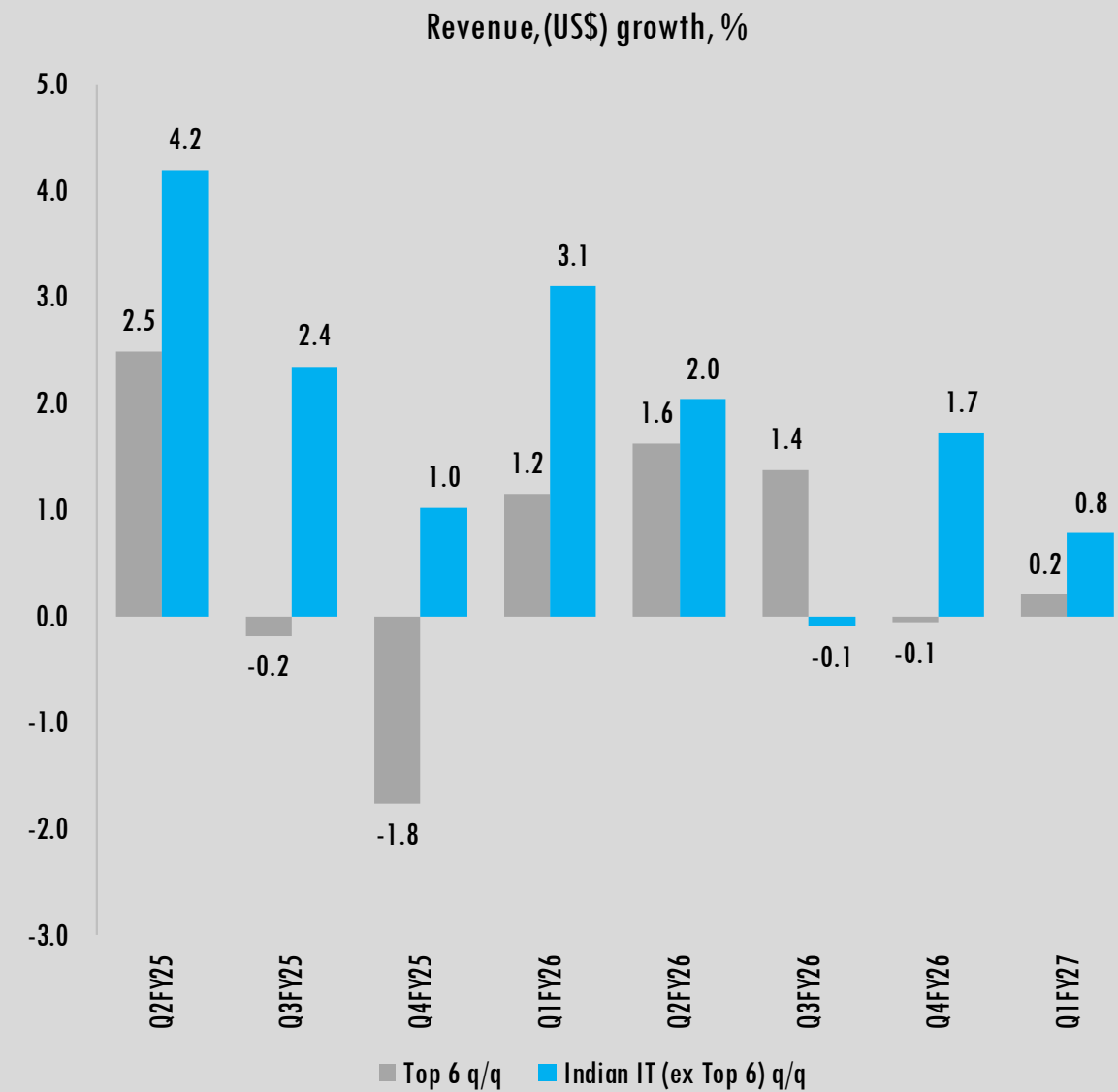
Currency headwinds, driving lower USD sequential growth vs. Constant Currency growth...



Note: Sonata refers to the International IT business

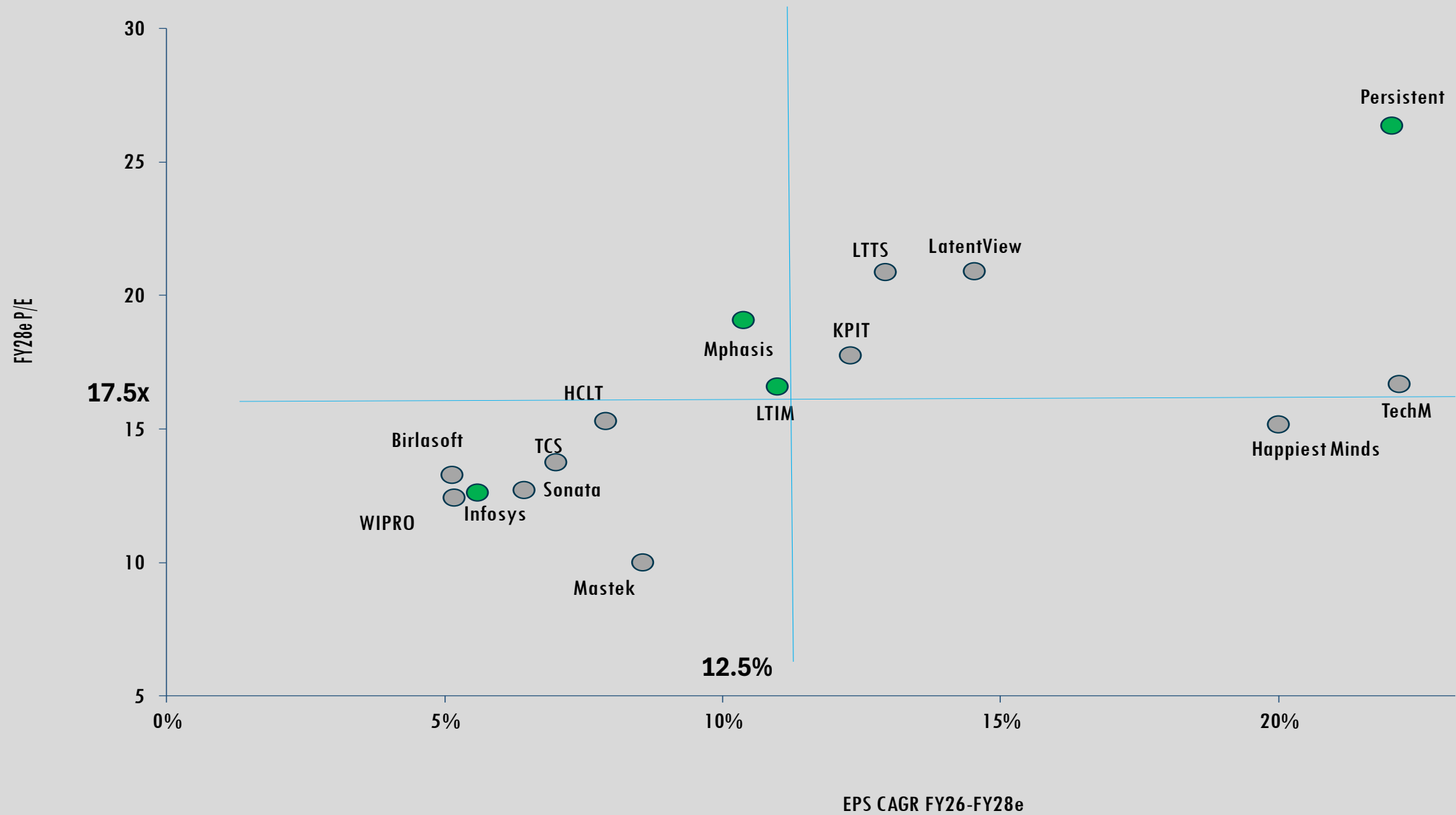
Green boxes represent our preferred picks

Top-6 & midcap IT growth differential narrowing in Q1FY27; Risk:Reward skewed towards Large-Caps



Top picks are tilted more toward Growth at Reasonable Price Thesis...

PEGs of the Top picks b/w 1.6x - 1.9x.



- Top picks
- Buy Rating, with key Moniterables

Appendix

TCS - Financials

Fig 1 – Income statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	29,080	30,179	30,017	31,063	32,173
Growth (%)	4.1	3.8	-0.5	3.5	3.6
Net revenues (Rs m)	24,08,930	25,53,240	26,70,210	29,40,703	30,45,858
Employee & Direct Costs	13,97,750	15,19,050	15,56,410	17,06,723	17,60,138
Gross Profit	10,11,180	10,34,190	11,13,800	12,33,980	12,85,720
Gross Margin %	41.98	40.51	41.71	41.96	42.21
SG&A	3,68,230	3,60,120	3,89,820	4,39,524	4,47,126
EBITDA	6,42,950	6,74,070	7,23,980	7,94,456	8,38,594
EBITDA margins (%)	26.7	26.4	27.1	27.0	27.5
- Depreciation	49,840	52,420	55,600	59,944	62,378
Other income	30,500	31,660	31,750	20,431	21,670
Interest Exp	-0	-0	-0	-0	-0
PBT	6,23,610	6,53,310	7,00,130	7,54,944	7,97,886
Effective tax rate (%)	26	25	24	25	25
+ Associates/(Minorities)	-1,910	-2,440	-2,440	-2,640	-2,640
Net Income	4,59,080	4,85,530	5,26,279	5,65,734	5,96,318
WANS	3,647	3,618	3,618	3,618	3,618
FDEPS (Rs/share)	125.9	134.2	145.5	156.4	164.8

Fig 3 – Cash Flow statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	6,23,610	6,53,310	7,00,130	7,54,944	7,97,886
+ Non-cash items	46,540	53,270	17,350	59,944	62,378
Operating profit before WC	6,70,150	7,06,580	7,17,480	8,14,888	8,60,264
- Incr./ (decr.) in WC	75,940	36,460	27,260	35,962	-8,433
Others including taxes	-1,24,890	-1,55,860	-1,43,840	-1,86,570	-1,98,928
Operating cash-flow	4,69,320	5,14,260	5,46,380	5,92,356	6,69,768
- Capex (tangible + Intangible)	22,020	29,170	36,700	40,418	41,863
Free cash-flow	4,47,300	4,85,090	5,09,680	5,51,939	6,27,905
Acquisitions	-	-	-67,500	-	-
- Dividend (including buyback & taxes)	4,61,770	4,49,620	3,95,710	4,57,542	4,82,277
+ Equity raised	-	-	-	-	-
+ Debt raised	-	-	-	-	-
- Fin Investments	-96,070	15,380	-39,050	-	-
- Misc. Items (CFI + CFF)	20,410	35,430	1,11,850	-	-
Net cash-flow	61,190	-15,340	-26,330	94,397	1,45,629

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	3,620	3,620	3,620	3,620	3,620
Net worth	9,26,120	9,68,820	10,93,760	12,01,952	13,15,993
Total debt (incl. Pref)	-	-	-	-	-
Minority interest	8,300	10,150	12,380	15,020	17,660
DTL/(Asset)	-39,920	-41,290	-46,610	-46,610	-46,610
Capital employed	8,94,500	9,37,680	10,59,530	11,70,362	12,87,043
Net tangible assets	71,481	48,231	29,331	9,805	-10,710
Net Intangible assets	44,990	49,640	1,14,580	1,14,580	1,14,580
Goodwill					
CWIP (tang. & intang.)	1,19,619	1,73,839	2,22,739	2,22,739	2,22,739
Other Long term Assets/(Liabilities)	-57,600	-76,090	-1,07,100	-1,07,100	-1,07,100
Investments (Financial)	3,44,270	3,46,210	3,91,300	3,91,300	3,91,300
Current Assets (ex Cash)	6,71,920	7,52,840	8,70,920	9,52,283	9,77,990
Cash	1,50,630	1,62,660	1,36,330	2,30,727	3,76,355
Current Liabilities	4,50,810	5,19,650	5,98,570	6,43,971	6,78,111
Working capital	2,21,110	2,33,190	2,72,350	3,08,312	2,99,879
Capital deployed	8,94,500	9,37,680	10,59,530	11,70,362	12,87,043
	-	-	-	-	-
	-	-	-	-	-

Fig 4 – Ratio analysis					
Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	16.6	15.6	14.4	13.4	12.7
EV/EBITDA (x)	10.9	10.4	9.7	8.8	8.3
EV/sales (x)	2.94	2.77	2.64	2.36	2.23
P/B (x)	8.2	7.8	6.9	6.3	5.8
RoE (%)	49.6	51.2	47.7	49.3	47.4
RoCE (%) - After tax	42.5	43.5	43.1	42.5	41.2
RoIC (%) - After tax	83.9	82.3	77.2	76.1	80.8
DPS (Rs per share)	55.0	126.0	110.0	126.5	133.3
Dividend yield (%)	2.6	6.0	5.3	6.0	6.4
Dividend payout (%) - Inc. DDT	95.8	135.1	80.9	80.9	80.9
Net debt/equity (x)	-0.5	-0.5	-0.5	-0.5	-0.6
Receivables (days)	81	85	93	92	91
Inventory (days)					
Payables (days)	15	20	20	21	22
CFO:PAT%	102	105	110	104	112
FCF:PAT% - includ M&A payout	97	100	84	98	105

Source: Company, Anand Rathi Research

Infosys - Financials

Fig 1 – Income statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	18,562	19,277	20,156	20,883	21,785
Growth (%)	1.9	3.9	4.6	3.6	4.3
Net revenues (Rs m)	15,36,710	16,29,900	17,86,500	19,77,012	20,62,412
Employee & Direct Costs	10,27,360	10,85,350	11,98,330	13,19,991	13,66,698
Gross Profit	5,09,350	5,44,550	5,88,170	6,57,021	6,95,714
Gross Margin %	33.1	33.4	32.9	33.2	33.7
SG&A	1,45,100	1,52,200	1,65,380	1,66,704	1,73,831
EBITDA	3,64,250	3,92,350	4,22,790	4,90,317	5,21,883
EBITDA margins (%)	23.7	24.1	23.7	24.8	25.3
- Depreciation	46,780	48,110	49,010	75,565	82,023
Other income	42,420	31,830	39,060	33,633	35,290
Interest Exp	-	-	-	-	-
PBT	3,59,890	3,76,070	4,12,840	4,48,386	4,75,150
Effective tax rate (%)	26	29	25	29	29
+ Associates/(Minorities)	-160	-370	-340	-280	-38
Net Income	2,67,570	2,67,130	2,94,400	3,18,074	3,37,319
WANS	4,145	4,152	4,056	4,056	4,056
FDEPS (Rs/share)	64.6	64.3	72.6	78.4	83.2

Fig 3 – Cash Flow statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	3,59,890	3,76,070	4,12,840	4,48,386	4,75,150
+ Non-cash items	63,290	58,230	48,654	75,565	82,023
Operating profit before WC	4,23,180	4,34,300	4,61,494	5,23,951	5,57,173
- Incr./(decr.) in WC	52,050	-35,800	38,000	24,956	-182
Others including taxes	-1,10,470	-1,02,240	-65,254	-1,30,032	-1,42,224
Operating cash-flow	2,60,660	3,67,860	3,58,240	3,68,963	4,15,131
- Capex (tangible + Intangible)	22,010	22,370	27,270	27,213	28,388
Free cash-flow	2,38,650	3,45,490	3,30,970	3,41,750	3,86,743
Acquisitions	-1,010	-31,550	-6,370	-71,960	-4,591
- Dividend (including buyback & taxes)	1,46,920	2,02,870	1,86,530	2,24,274	2,69,129
+ Equity raised	-	-	-	-	-
+ Debt raised	-	-	-	-	-
- Fin Investments	43,380	-17,550	-28,140	-10,940	-10,393
- Misc. Items (CFI + CFF)	21,210	31,930	1,88,750	-	-
Net cash-flow	26,130	96,690	-22,540	56,456	1,23,415

Source: Company, Anand Rath Research

Fig 2 – Balance sheet (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	20,710	20,730	20,240	19,740	19,740
Net worth	8,81,160	9,58,180	9,28,520	10,22,320	10,90,510
Total debt (incl. Pref)	-	-	-	-	-
Minority interest	3,450	3,850	4,450	4,730	4,768
DTL/(Asset)	-81,020	-39,830	-30,860	-30,860	-30,860
Capital employed	8,03,590	9,22,200	9,02,110	9,96,190	10,64,417
Net tangible assets	1,89,220	1,80,890	1,84,860	1,36,507	82,873
Net Intangible assets	87,000	1,28,720	1,49,420	2,21,380	2,25,971
Goodwill					
CWIP (tang. & intang.)	4,480	10,220	10,220	10,220	10,220
Other Long term Assets/(Liabilities)	-54,400	-43,280	-42,390	-42,390	-37,960
Investments (Financial)	2,46,230	2,35,410	2,18,800	2,07,860	1,97,467
Current Assets (ex Cash)	5,71,140	5,94,190	6,82,410	7,44,349	7,76,502
Cash	1,47,860	2,44,550	2,22,010	2,78,466	4,01,882
Current Liabilities	3,87,940	4,28,500	5,23,220	5,60,203	5,92,538
Working capital	1,83,200	1,65,690	1,59,190	1,84,146	1,83,964
Capital deployed	8,03,590	9,22,200	9,02,110	9,96,190	10,64,417
	-	-	-	-	-
	-	-	-	-	-

Fig 4 – Ratio analysis					
Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	15.9	15.9	14.4	13.4	12.6
EV/EBITDA (x)	10.1	9.4	8.7	7.5	7.1
EV/sales (x)	2.57	2.37	2.19	1.95	1.82
P/B (x)	4.9	4.5	4.7	4.3	4.0
RoE (%)	32.7	29.1	31.2	32.6	31.9
RoCE (%) - After tax	25.4	23.9	26.6	27.2	26.8
RoIC (%) - After tax	41.2	41.6	47.4	47.5	50.2
DPS (Rs per share)	46.0	43.0	48.0	55.3	66.4
Dividend yield (%)	4.4	4.1	4.6	5.3	6.3
Dividend payout (%) - Inc. DDT	71.3	66.8	127.3	80.0	80.0
Net debt/equity (x)	-0.4	-0.5	-0.5	-0.5	-0.5
Receivables (days)	106	104	107	105	105
Inventory (days)					
Payables (days)	12	12	13	13	13
CFO:PAT%	97	138	122	116	123
FCF:PAT% - includ M&A payout	89	118	110	85	113

Source: Company, Anand Rath Research

HCL Tech - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenues (US\$m)	13,270	13,840	14,664	15,283	16,030
Growth (%)	5.4	4.3	6.0	4.2	4.9
Net revenues (Rs m)	10,99,130	11,70,550	13,01,440	14,10,452	14,79,441
Employee & Direct Costs	8,07,850	8,78,283	9,89,325	10,66,162	11,21,823
Gross Profit	3,94,390	4,08,980	4,43,330	4,83,991	5,11,363
Gross Margin %	35.88	34.94	34.06	34.31	34.56
SG&A	1,52,390	1,53,940	1,75,810	1,85,343	1,95,903
EBITDA	2,42,000	2,55,040	2,67,520	2,98,648	3,15,459
EBITDA margins (%)	22.0	21.8	20.6	21.2	21.3
- Depreciation	41,730	40,840	43,550	45,908	49,692
Other income	14,920	24,850	15,300	15,871	16,515
Interest Exp	5,530	6,440	8,690	9,600	9,600
PBT	2,09,660	2,32,610	2,21,020	2,59,010	2,72,682
Effective tax rate (%)	25	25	25	26	26
+ Associates/(Minorities)	-80	-90	-100	-40	-40
Net Income	1,57,010	1,73,900	1,66,420	1,92,146	2,02,290
WANS	2,713	2,712	2,714	2,714	2,714
FDEPS (Rs/share)	57.9	64.1	61.3	70.8	74.5

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	2,09,660	2,32,610	2,21,020	2,59,010	2,72,682
+ Non-cash items	33,890	22,330	34,710	45,908	49,692
Operating profit before WC	2,43,550	2,54,940	2,55,730	3,04,918	3,22,375
- Incr./ (decr.) in WC	-23,050	-10,100	15,220	22,676	11,588
Others including taxes	-42,120	-42,430	-40,760	-68,095	-71,647
Operating cash-flow	2,24,480	2,22,610	1,99,750	2,14,148	2,39,139
- Capex (tangible + Intangible)	10,480	11,080	14,220	15,411	16,165
Free cash-flow	2,14,000	2,11,530	1,85,530	1,98,737	2,22,974
Acquisitions	-20,430	-19,820	-1,590	-36,916	-
- Dividend (including buyback & taxes)	1,40,730	1,62,500	1,46,180	1,55,330	1,64,650
+ Equity raised	-	-	-	-0	-0
+ Debt raised	760	-360	-21,320	-370	-
- Fin Investments	17,090	12,540	-3,773	30,580	36,696
- Misc. Items (CFI + CFF)	16,020	24,120	25,143	-180	-126
Net cash-flow	20,490	-7,810	-4,930	-24,279	21,754

Source: Company , Anand Rathi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	5,430	5,430	5,430	5,430	5,430
Net worth	6,82,630	6,96,550	7,51,650	7,88,465	8,26,106
Total debt (incl. Pref)	23,270	22,910	1,590	1,220	1,220
Minority interest	80	180	320	360	400
DTL/(Asset)	-2,600	5,510	2,350	1,204	-57
Capital employed	7,03,380	7,25,150	7,55,910	7,91,249	8,27,669
Net tangible assets	78,010	75,170	81,890	84,129	85,386
Net Intangible assets	2,72,620	2,86,550	2,91,300	2,96,080	2,61,295
Goodwill					
CWIP (tang. & intang.)	1,080	590	600	420	294
Other Long term Assets/(Liabilities)	-36,360	-30,530	-33,430	-32,160	-30,865
Investments (Financial)	1,07,880	1,31,350	1,52,900	1,83,480	2,20,176
Current Assets (ex Cash)	3,30,480	3,49,550	4,08,080	4,35,210	4,49,100
Cash	1,64,990	1,57,180	1,52,250	1,27,971	1,49,725
Current Liabilities	2,15,320	2,44,710	2,98,280	3,03,880	3,07,442
Working capital	1,15,160	1,04,840	1,09,800	1,31,330	1,41,657
Capital deployed	7,03,380	7,25,150	7,55,910	7,91,249	8,27,669
Contingent Liabilities	6,730	6,110	-	-	-

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	19.7	17.8	18.6	16.1	15.3
EV/EBITDA (x)	11.6	11.0	10.5	9.4	8.9
EV/sales (x)	2.6	2.4	2.1	2.0	1.8
P/B (x)	4.5	4.4	4.1	3.9	3.7
RoE (%)	23.5	25.2	23.0	25.0	25.1
RoCE (%) - After tax	19.8	20.1	20.1	21.2	21.4
RoIC (%) - After tax	28.9	31.1	31.2	32.7	34.1
DPS (Rs per share)	52.0	60.0	54.0	57.2	60.7
Dividend yield (%)	4.6	5.3	4.7	5.0	5.3
Dividend payout (%) - Inc. DDT	89.8	93.6	88.1	80.8	81.4
Net debt/equity (x)	-0.4	-0.4	-0.4	-0.4	-0.4
Receivables (days)	87	84	90	90	90
Inventory (days)					
Payables (days)	11	12	13	12	11
CFO: PAT%	142.9	127.9	120.0	111.4	118.2
FCF: PAT% - includ M&A payout	123.3	110.2	110.5	84.2	110.2

Source: Company , Anand Rathi Research

Wipro - Financials

Fig 1 – Income statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	10,805	10,512	10,478	10,650	11,001
Growth (%)	-3.2	-2.7	-0.3	1.6	3.3
Net revenues (Rs m)	8,97,603	8,90,884	9,26,240	9,73,208	10,03,459
Employee & Direct Costs	6,31,497	6,17,802	6,56,192	6,89,784	7,05,880
Gross Profit	2,66,106	2,73,082	2,70,048	2,83,424	2,97,579
Gross Margin %	29.65	30.65	29.16	29.12	29.66
SG&A	96,276	92,264	91,543	89,511	95,398
EBITDA	1,69,830	1,80,818	1,78,505	1,93,913	2,02,180
EBITDA margins (%)	18.9	20.3	19.3	19.9	20.1
- Depreciation	34,071	29,579	29,107	29,876	31,089
Other income	24,236	38,234	38,344	31,546	30,005
Interest Exp	12,552	14,770	14,577	14,804	14,804
PBT	1,47,443	1,74,703	1,73,165	1,80,779	1,86,292
Effective tax rate (%)	24	24	24	25	25
+ Associates/(Minorities)	-902	-572	-424	-684	-684
Net Income	1,10,452	1,31,354	1,31,974	1,35,684	1,39,843
WANS	10,445	10,437	10,487	9,887	9,887
FDEPS (Rs/share)	10.6	12.6	12.6	13.7	14.1

Fig 3 – Cash Flow statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	1,47,443	1,74,703	1,73,165	1,80,779	1,86,292
+ Non-cash items	25,594	10,300	13,482	29,876	31,089
Operating profit before WC	1,73,037	1,85,003	1,86,647	2,10,654	2,17,381
- Incr./(decr.) in WC	-18,051	-10,274	13,924	-10,406	-18,529
Others incuding taxes	-14,872	-25,851	-23,407	-45,629	-47,068
Operating cash-flow	1,76,216	1,69,426	1,49,316	1,75,432	1,88,842
- Capex (tangible + Intangible)	10,510	14,737	15,603	16,246	16,828
Free cash-flow	1,65,706	1,54,689	1,33,713	1,59,185	1,72,015
Acquisitions	-6,585	-964	-26,033	-39,409	-906
- Dividend (including buyback & taxes)	5,218	62,750	1,15,206	1,50,000	1,19,633
+ Equity raised	13	27	33	-	-
+ Debt raised	-10,057	17,923	-6,000	-	-
- Fin Investments	-3,529	95,062	21,074	-1,00,000	-
- Misc. Items (CFI + CFF)	1,42,315	-11,158	-18,148	-	0
Net cash-flow	5,073	25,021	-16,419	69,776	51,476

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	10,450	20,944	20,977	19,777	19,777
Net worth	7,49,883	8,28,309	8,85,368	8,71,052	8,91,262
Total debt (incl. Pref)	1,41,466	1,61,817	1,67,874	1,67,874	1,67,874
Minority interest	1,340	2,138	2,509	3,193	3,877
DTL/(Asset)	123	235	-6,525	-6,525	-6,525
Capital employed	8,92,812	9,92,499	10,49,226	10,35,594	10,56,488
Net tangible assets	92,083	1,04,071	90,567	76,938	62,676
Net Intangible assets	3,48,750	3,52,464	4,16,575	4,55,984	4,56,890
Goodwill					
CWIP (tang. & intang.)	7,480	2,211	19,507	19,507	19,507
Other Long term Assets/(Liabilities)	-61,282	-83,703	-1,00,015	-98,797	-97,494
Investments (Financial)	3,32,800	4,37,932	4,65,733	3,65,733	3,65,733
Current Assets (ex Cash)	2,40,099	2,38,209	2,80,139	2,79,562	2,69,970
Cash	96,953	1,21,974	1,05,555	1,75,331	2,26,807
Current Liabilities	1,64,071	1,80,659	2,28,835	2,38,664	2,47,601
Working capital	76,028	57,550	51,304	40,898	22,369
Capital deployed	8,92,812	9,92,499	10,49,226	10,35,594	10,56,488
	-	-	-	-	-
	-	-	-	-	-

Fig 4 – Ratio analysis					
Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	16.6	14.0	13.9	12.8	12.4
EV/EBITDA (x)	8.3	7.8	7.9	7.3	7.0
EV/sales (x)	3.8	3.7	3.5	3.4	3.2
P/B (x)	4.9	4.4	4.1	4.2	4.1
RoE (%)	14.4	16.6	15.4	15.5	15.9
RoCE (%) - After tax	10.3	10.9	9.9	10.5	10.9
RoIC (%) - After tax	18.0	20.7	19.6	19.7	20.8
DPS (Rs per share)	2.0	6.0	11.0	-	12.1
Dividend yield (%)	0.6	1.7	3.1	-	3.4
Dividend payout (%) - Inc. DDT	143.1	39.6	87.4	110.6	85.5
Net debt/equity (x)	-0.4	-0.5	-0.5	-0.4	-0.5
Receivables (days)	72	75	87	85	82
Inventory (days)					
Payables (days)	44	45	46	46	46
CFO:PAT%	158	128	113	129	134
FCF:PAT% - includ M&A payout	144	117	82	88	122

Source: Company, Anand Rathi Research

TechM - Financials

Fig 1 – Income statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	6,277	6,264	6,385	6,666	6,979
Growth (%)	-5.0	-0.2	1.9	4.4	4.7
Net revenues (Rs m)	5,19,955	5,29,883	5,68,154	6,31,108	6,60,664
Employee & Direct Costs	3,91,146	3,80,848	3,98,689	4,33,362	4,50,301
Gross Profit	1,28,809	1,49,035	1,69,465	1,97,745	2,10,363
Gross Margin %	24.8	28.1	29.8	31.3	31.8
SG&A	70,939	79,124	79,124	87,548	89,954
EBITDA	57,870	69,911	90,341	1,10,197	1,20,409
EBITDA margins (%)	11.1	13.2	15.9	17.5	18.2
- Depreciation	18,171	18,529	18,816	19,730	20,226
Other income	-3,638	8,554	319	3,691	4,660
Interest Exp	3,922	3,217	3,374	2,842	2,273
PBT	32,139	56,719	65,746	91,317	1,02,570
Effective tax rate (%)	26	25	27	26	27
+ Associates/(Minorities)	-285	-202	39	-64	-26
Net Income	23,578	42,515	48,109	67,236	74,850
WANS	887	887	887	887	887
FDEPS (Rs/share)	26.6	47.9	54.2	75.8	84.3

Fig 3 – Cash Flow statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	32,139	56,719	65,746	91,317	1,02,570
+ Non-cash items	31,097	19,544	27,348	16,039	15,566
Operating profit before WC	63,236	76,263	93,094	1,07,355	1,18,135
- Incr./((decr.) in WC	-12,987	2,662	14,872	7,024	-1,302
Others incuding taxes	-12,459	-15,744	-16,502	-31,078	-35,815
Operating cash-flow	63,764	57,857	61,720	69,253	83,623
- Capex (tangible + Intangible)	7,911	5,935	6,957	7,728	8,090
Free cash-flow	55,853	51,922	54,763	61,526	75,533
Acquisitions	-7,488	-1,620	-899	-	-
- Dividend (including buyback & taxes)	39,170	38,418	40,255	60,513	67,365
+ Equity raised	238	90	9	-0	-0
+ Debt raised	-472	-10,596	-4,018	-278	-167
- Fin Investments	984	-2,477	1,134	-7,755	-6,204
- Misc. Items (CFI + CFF)	5,069	4,141	1,190	-3,691	-4,660
Net cash-flow	2,908	-286	7,276	12,181	18,865

Source: Company, Anand Rath Research

Fig 2 – Balance sheet (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	4,413	4,424	4,428	4,428	4,428
Net worth	2,66,694	2,73,615	2,96,154	3,02,878	3,10,363
Total debt (incl. Pref)	15,310	4,714	696	418	251
Minority interest	4,774	4,302	4,616	4,680	4,706
DTL/(Asset)	-11,651	-16,294	-19,847	-19,847	-19,847
Capital employed	2,75,127	2,66,337	2,81,619	2,88,128	2,95,472
Net tangible assets	34,171	38,785	43,790	47,572	51,617
Net Intangible assets	1,04,467	1,00,690	1,04,527	88,743	72,563
Goodwill					
CWIP (tang. & intang.)	1,011	206	268	268	268
Other Long term Assets/(Liabilities)	5,525	5,362	-4,133	2,929	11,049
Investments (Financial)	40,119	37,642	38,776	31,021	24,817
Current Assets (ex Cash)	1,54,896	1,58,427	1,86,931	2,04,337	2,10,445
Cash	43,471	43,185	50,461	62,642	81,507
Current Liabilities	1,08,533	1,17,960	1,39,001	1,49,383	1,56,793
Working capital	46,363	40,467	47,930	54,954	53,652
Capital deployed	2,75,127	2,66,337	2,81,619	2,88,128	2,95,472
Contingent Liabilities					

Fig 4 – Ratio analysis					
Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	53.0	29.4	26.0	18.6	16.7
EV/EBITDA (x)	20.3	16.8	13.0	10.7	9.7
EV/sales (x)	2.27	2.21	2.04	1.83	1.73
P/B (x)	4.7	4.6	4.2	4.1	4.0
RoE (%)	8.6	15.7	16.9	22.4	24.4
RoCE (%) - After tax	8.8	11.9	15.3	18.6	20.0
RoIC (%) - After tax	11.6	15.9	20.4	25.0	27.6
DPS (Rs per share)	40.0	45.0	51.0	68.2	75.9
Dividend yield (%)	2.8	3.2	3.6	4.8	5.4
Dividend payout (%) - Inc. DDT	150.5	93.9	94.1	90.0	90.0
Net debt/equity (x)	-0.3	-0.3	-0.3	-0.3	-0.3
Receivables (days)	80	80	86	85	84
Inventory (days)					
Payables (days)	30	35	39	40	41
CFO:PAT%	267	135	128	103	112
FCF:PAT% - includ M&A payout	205	118	112	92	101

Source: Company, Anand Rath Research

LTM - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	4,287	4,493	4,764	5,036	5,425
Growth (%)	4.4	4.8	6.0	5.7	7.7
Net revenues (Rs m)	3,55,170	3,80,081	4,23,076	4,76,741	5,13,575
Employee & Direct Costs	2,46,214	2,68,217	2,99,909	3,36,759	3,61,494
Gross Profit	1,08,956	1,11,864	1,23,167	1,39,982	1,52,081
Gross Margin %	30.7	29.4	29.1	29.4	29.6
SG&A	45,082	46,915	47,615	54,914	60,218
EBITDA	63,874	64,949	75,552	85,068	91,863
EBITDA margins (%)	18.0	17.1	17.9	17.8	17.9
- Depreciation	8,189	9,915	10,541	10,810	11,249
Other income	7,019	9,897	10,944	10,388	11,641
Interest Exp	2,217	2,789	2,763	2,021	1,326
PBT	60,487	62,142	67,911	82,625	90,929
Effective tax rate (%)	24	26	27	26	26
+ Associates/(Minorities)	-25	-33	354	200	200
Net Income	45,821	45,987	50,181	61,138	67,263
WANS	296	296	297	297	297
FDEPS (Rs/share)	155	155	169	206	227

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	60,487	62,142	67,911	82,625	90,929
+ Non-cash items	5,940	4,493	3,822	10,810	11,249
Operating profit before WC changes	66,427	66,635	71,733	93,435	1,02,178
- Incr./(decr.) in WC	-5,975	4,803	5,169	5,687	872
Others incuding taxes	-15,707	-16,374	-18,576	-21,686	-23,866
Operating cash-flow	56,695	45,458	47,988	66,062	77,440
- Capex (tangible + Intangible)	8,330	9,336	9,306	9,056	7,702
Free cash-flow	48,365	36,122	38,682	57,006	69,738
Acquisitions	-59	-75	-	-	-
- Dividend (including buyback & taxes)	17,753	19,246	19,854	24,486	26,934
+ Equity raised	-	-	-	-	-
+ Debt raised	-866	-399	-23	-	-
- Fin Investments	33,305	11,547	14,430	26,098	31,318
- Misc. Items (CFI + CFF)	1,559	2,432	1,687	-	-
Net cash-flow	-5,177	2,423	2,688	6,422	11,486

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	296	296	296	296	296
Net worth	2,00,172	2,26,983	2,40,250	2,76,903	3,17,231
Total debt (incl. Pref)	407	23	-	-	-
Minority interest	92	132	827	627	427
DTL/(Asset)	-2,314	-1,978	-9,061	-9,061	-9,061
Capital employed	1,98,357	2,25,160	2,32,016	2,68,469	3,08,597
Net tangible assets	35,568	39,631	41,704	40,950	38,402
Net Intangible assets	15,078	14,212	14,604	13,604	12,604
Goodwill	6,900	6,900	6,900	6,900	6,900
CWIP (tang. & intang.)	4,669	5,818	9,171	9,171	9,171
Investments (Strategic)	-	-	-	-	-
Investments (Financial)	97,396	1,13,699	1,30,490	1,56,588	1,87,906
Current Assets (ex Cash)	1,02,218	1,10,020	1,43,144	1,57,316	1,65,646
Cash	18,200	20,623	23,311	29,733	41,219
Current Liabilities	74,772	78,843	1,30,408	1,38,893	1,46,351
Working capital	27,446	31,177	12,736	18,423	19,295
Capital deployed	1,98,357	2,25,160	2,32,016	2,68,469	3,08,597
	-	-	-	-	-

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	24.3	24.2	20.4	18.2	16.6
EV/EBITDA (x)	15.3	15.0	12.9	11.5	10.6
EV/sales (x)	2.7	2.6	2.3	2.0	1.9
P/B (x)	5.6	4.9	4.6	4.0	3.5
RoE (%)	25.0	21.5	21.5	23.6	22.6
RoCE (%) - After tax	20.8	17.3	18.1	18.5	17.8
RoIC (%) - After tax	41.0	36.8	39.7	43.3	46.8
DPS (Rs per share)	65.0	65.0	75.0	82.5	90.8
Dividend yield (%)	1.7	1.7	2.0	2.2	2.4
Dividend payout (%) - Inc. DDT	42.0	41.9	44.4	40.0	40.0
Net debt/equity (x)	-0.6	-0.6	-0.6	-0.7	-0.7
Receivables (days)	72	74	82	81	80
Inventory (days)	-	-	-	-	-
Payables (days)	19	18	22	22	23
CFO:PAT%	124	99	96	108	115
FCF:PAT% - includ M&A payout	105	78	77	93	104

Source: Company, Anand Rathi Research

Mphasis - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	1,610	1,680	1,797	1,908	2,046
Growth (%)	-6.3	4.4	6.9	6.2	7.2
Net revenues (Rs m)	1,33,340	1,42,234	1,60,100	1,80,667	1,93,699
Employee & Direct Costs	92,772	97,603	1,08,944	1,22,488	1,30,839
Gross Profit	40,568	44,631	51,156	58,179	62,860
Gross Margin %	30.42	31.38	31.95	32.20	32.45
SG&A	15,793	18,226	20,017	22,418	24,487
EBITDA	24,775	26,405	31,139	35,761	38,373
EBITDA margins (%)	18.6	18.6	19.4	19.8	19.8
- Depreciation	4,106	4,764	5,553	6,424	6,953
Other income	1,623	2,617	1,904	2,030	2,331
Interest Exp	1,608	1,656	2,040	2,783	2,505
PBT	20,684	22,602	25,450	28,585	31,247
Effective tax rate (%)	25	25	26	26	26
+ Associates/(Minorities)	-	-	-	-	-
Net Income	15,549	17,022	18,892	21,213	23,188
WANS	190	190	193	193	193
FDEPS (Rs/share)	81.7	89.6	98.0	110.1	120.3

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	20,684	22,602	25,450	28,585	31,247
+ Non-cash items	2,987	5,902	3,267	7,176	7,126
Operating profit before WC	23,671	28,504	28,717	35,761	38,373
- Incr./((decr.) in WC	4,028	-2,341	-9,186	-5,423	-2,912
Others including taxes	-5,902	-7,111	-6,998	-7,372	-8,058
Operating cash-flow	21,797	19,052	12,533	22,966	27,403
- Capex (tangible + Intangible)	937	618	3,185	4,517	4,842
Free cash-flow	20,860	18,434	9,348	18,449	22,561
Acquisitions	-12,333	-2,800	-4,319	-680	-
- Dividend (including buyback & taxes)	9,427	10,401	10,841	13,606	14,873
+ Equity raised	301	575	340	-	-
+ Debt raised	12,965	-4,455	4,977	-1,793	-1,614
+ Fin Investments	-11,572	3,839	5,730	-	-
- Misc. Items (CFI + CFF)	3,208	3,378	3,869	580	-17
Net cash-flow	-2,414	1,814	1,366	1,791	6,091

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	1,890	1,901	1,908	1,908	1,908
Net worth	87,946	96,284	1,07,437	1,15,044	1,23,360
Total debt (incl. Pref)	15,436	11,159	17,929	16,136	14,522
Minority interest	-	-	-	-	-
DTL/(Asset)	-7,977	-9,590	-12,194	-12,021	-11,830
Capital employed	95,405	97,853	1,13,172	1,19,160	1,26,052
Net tangible assets	9,216	8,218	8,917	10,222	11,587
Net Intangible assets	4,795	49,599	55,438	52,907	49,430
Goodwill	41,793	-	-	-	-
CWIP (tang. & intang.)	137	-	-	-	-
Long-term Assets (Liabilities)	-7,739	-5,970	-5,828	-5,828	-5,828
Investments (Financial)	30,899	22,082	17,366	17,366	17,366
Current Assets (ex Cash)	36,332	40,077	62,208	71,265	77,373
Cash	8,144	16,126	17,527	19,318	25,409
Current Liabilities	28,172	32,277	42,456	46,089	49,286
Working capital	8,160	7,799	19,752	25,175	28,087
Capital deployed	95,405	97,853	1,13,172	1,19,160	1,26,052
	-	-	-	-	-

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	28.1	25.7	23.4	20.8	19.1
EV/EBITDA (x)	17.1	16.0	13.6	11.8	11.0
EV/sales (x)	3.0	2.8	2.6	2.3	2.1
P/B (x)	5.0	4.6	4.1	3.8	3.6
RoE (%)	18.6	18.5	18.3	19.1	19.5
RoCE (%) - After tax	15.2	14.2	15.1	15.7	16.1
RoIC (%) - After tax	22.7	21.4	21.2	21.2	22.2
DPS (Rs per share)	55.0	57.0	62.0	70.6	77.2
Dividend yield (%)	2.4	2.5	2.7	3.1	3.4
Dividend payout (%) - Inc. DDT	67.4	63.6	64.1	64.1	64.1
Net debt/equity (x)	-0.3	-0.3	-0.2	-0.2	-0.2
Receivables (days)	74	81	102	102	102
Inventory (days)					
Payables (days)	27	31	38	39	40
CFO:PAT%	140	112	67	108	118
FCF:PAT% - includ M&A payout	55	92	27	84	97

Source: Company, Anand Rathi Research

Persistent Systems - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	1,186	1,409	1,654	1,915	2,195
Growth (%)	14.5	18.8	17.4	15.7	14.7
Net revenues (Rs m)	98,216	1,19,387	1,47,484	1,81,254	2,07,809
Employee & Direct Costs	65,231	78,740	94,874	1,17,763	1,34,910
Gross Profit	32,985	40,647	52,610	63,491	72,899
Gross Margin %	33.6	34.0	35.7	35.0	35.1
SG&A	15,742	20,066	24,656	29,380	33,144
EBITDA	17,243	20,581	27,955	34,110	39,755
EBITDA margins (%)	17.6	17.2	19.0	18.8	19.1
- Depreciation	3,094	3,069	4,030	4,394	4,577
Other income	327	710	1,078	1,870	2,306
Interest Exp					
PBT	14,476	18,223	24,112	31,586	37,483
Effective tax rate (%)	24	23	23	23	23
+ Associates/(Minorities)					
Net Income	10,935	14,001	18,651	24,426	28,990
WANS	154	154	158	158	158
FDEPS (Rs/share)	71.0	90.9	118.2	154.8	183.8

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	14,476	18,223	24,112	31,586	37,483
+ Non-cash items	3,202	4,694	5,596	2,779	2,495
Operating profit before WC changes	17,678	22,917	29,709	34,366	39,979
- Incr./(decr.) in WC	2,052	6,233	5,788	4,506	3,287
Others incuding taxes	-3,414	-5,114	-6,249	-7,160	-8,494
Operating cash-flow	12,213	11,569	17,671	22,699	28,199
- Capex (tangible + Intangible)	2,791	1,931	1,952	2,086	2,086
Free cash-flow	9,423	9,638	15,719	20,613	26,113
Acquisitions	2,074	490	1,065	502	-
- Dividend (including buyback & taxes)	4,084	4,600	6,183	12,213	14,495
+ Equity raised	1,608	1,846	499	-	-
+ Debt raised	-2,234	-2,061	-	-	-
- Fin Investments	428	350	-1,284	0	0
- Misc. Items (CFI + CFF)	1,365	3,957	8,327	-1,615	-2,081
Net cash-flow	846	26	1,928	9,513	13,699

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	770	779	789	789	789
Net worth	49,577	63,191	78,379	90,591	1,05,086
Total debt (including Pref)	2,073	-	-	-	-
Minority interest					
DTL/(Asset)	-1,360	-2,024	-3,460	-3,460	-3,460
Capital employed	50,291	61,166	74,919	87,132	1,01,626
Net tangible assets	6,727	8,150	9,441	9,120	8,755
Net Intangible assets	4,575	4,923	6,781	5,295	3,169
Goodwill	10,913	12,338	12,338	12,338	12,338
CWIP (tangible and intangible)	335	774	376	376	376
Investments (Strategic)	5,539	6,415	7,001	7,001	7,001
Investments (Financial)	2,727	3,388	9,146	9,146	9,146
Current Assets (ex Cash) Incl LT assets	31,332	39,099	53,040	60,508	66,192
Cash	10,229	10,255	12,183	21,696	35,395
Current Liabilities (ex ST Loan/Current Portion) i	22,086	24,175	35,387	38,349	40,746
Working capital	9,246	14,924	17,653	22,159	25,446
Capital deployed	50,291	61,166	74,919	87,131	1,01,626
Contingent Liabilities	1,284	2,308	-	-	-

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	69.8	54.5	40.9	31.3	26.3
EV/EBITDA (x)	42.8	35.9	26.4	21.6	18.6
EV/sales (x)	7.7	6.3	5.0	4.0	3.5
P/B (x)	15.4	12.1	9.7	8.4	7.3
RoE (%)	24.5	24.8	26.3	28.9	29.6
RoCE (%) - After tax	20.5	22.2	24.2	25.0	25.8
RoIC (%) - After tax	30.5	32.5	35.5	39.0	44.8
DPS (Rs per share)	26.0	38.1	55.8	77.4	91.9
Dividend yield (%)	0.5	0.8	1.2	1.6	1.9
Dividend payout (%) - Inc. DDT	36.6	41.9	47.2	50.0	50.0
Net debt/equity (x)	-0.3	-0.3	-0.4	-0.4	-0.5
Receivables (days)	89	87	85	84	83
Inventory (days)					
Payables (days)	37	33	35	35	36
CFO:PAT%	112	83	95	93	97
FCF:PAT% - includ M&A payout	67	62	78	82	90

Source: Company, Anand Rathi Research

LTTS - Financials

Fig 1 – Income statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	1,164	1,138	1,233	1,249	1,341
Growth (%)	17.6	-2.2	8.3	1.4	7.3
Net revenues (Rs m)	96,472	96,422	1,09,959	1,18,287	1,26,925
Employee & Direct Costs	68,467	66,973	76,413	80,219	86,376
Gross Profit	28,005	29,449	33,546	38,068	40,550
Gross Margin %	29.03	30.54	30.51	32.18	31.95
SG&A	8,816	11,551	14,195	16,322	16,985
EBITDA	19,189	17,898	19,351	21,746	23,565
EBITDA margins (%)	19.9	18.6	17.6	18.4	18.6
- Depreciation	2,716	3,031	3,452	3,547	3,691
Other income	2,073	2,093	2,212	2,359	3,003
Interest Exp	509	565	641	578	578
PBT	18,037	16,395	17,470	19,980	22,298
Effective tax rate (%)	28	27	27	27	27
+ Associates/(Minorities)	-26	32	-19	-31	-45
Net Income	13,036	12,668	12,793	14,628	16,315
WANS	106	106	106	106	106
FDEPS (Rs/share)	123	119	121	138	154

Fig 3 – Cash Flow statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	18,037	16,395	17,470	19,980	22,298
+ Non-cash items	2,704	3,567	1,915	1,767	1,267
Operating profit before WC changes	20,741	19,962	19,385	21,746	23,565
- Incr./(decr.) in WC	-437	223	721	-5,379	-823
Others including taxes	-6,250	-4,928	-4,113	-5,321	-5,939
Operating cash-flow	14,928	14,811	14,551	21,805	18,449
- Capex (tangible + Intangible)	2,419	1,018	1,749	1,881	2,019
Free cash-flow	12,509	13,793	12,802	19,923	16,430
Acquisitions	-7,978	-7,364	-1,410	4,520	-
- Dividend (including buyback & taxes)	4,967	5,292	5,928	4,664	5,130
+ Equity raised	-	-	-	-	-
+ Debt raised	-	-	-	-	-
- Fin Investments	-6,911	-1,908	2,424	-	-
- Misc. Items (CFI + CFF)	2,832	3,195	2,676	-1,781	-2,425
Net cash-flow	3,643	-150	364	21,560	13,724
Cash classified as other asset/overdraft	-2,232	-2,760	-2,302	-	-

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	212	212	212	212	212
Net worth	53,271	60,800	64,727	70,232	81,416
Total debt (including Pref)	-	-	-	-	-
Minority interest	207	175	195	226	270
DTL/(Asset)	691	594	-906	-906	-906
Capital employed	54,169	60,652	61,592	67,128	78,357
Net tangible assets	9,878	7,865	6,162	4,496	2,824
Net Intangible assets	6,248	13,667	13,917	4,938	4,938
Goodwill	6,248	13,667	13,917	4,938	4,938
CWIP (tangible and intangible)	131	280	117	117	117
Investments (Strategic)					
Investments (Financial)	17,611	14,923	18,973	18,973	18,973
Current Assets (ex Cash) Incl LT assets	39,742	44,788	45,892	43,087	45,313
Cash	11,221	13,831	16,497	38,057	51,781
Current Liabilities (ex ST Loan/Current Portion) i	30,662	34,702	39,966	42,540	45,589
Working capital	9,080	10,086	5,926	547	-276
Capital deployed	54,169	60,652	61,592	67,128	78,357
Contingent Liabilities					

Fig 4 – Ratio analysis					
Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	26.1	26.9	26.6	23.3	20.9
EV/EBITDA (x)	16.3	17.4	16.1	14.3	13.2
EV/sales (x)	3.2	3.2	2.8	2.4	2.1
P/B (x)	6.4	5.6	5.3	4.9	4.2
RoE (%)	25.4	22.2	20.4	21.7	21.5
RoCE (%) - After tax	20.6	16.8	16.4	17.3	17.1
RoIC (%) - After tax	41.7	30.3	30.0	43.4	67.9
DPS (Rs per share)	50.0	55.0	40.0	44.0	48.4
Dividend yield (%)	1.6	1.7	1.2	1.4	1.5
Dividend payout (%) - Inc. DDT	40.7	46.0	33.1	31.9	31.4
Net debt/equity (x)	-0.5	-0.5	-0.5	-0.8	-0.9
Receivables (days)	82	95	67	67	65
Inventory (days)					
Payables (days)	67	75	38	40	42
CFO:PAT%	114	124	118	149	113
FCF:PAT% - includ M&A payout	35	51	89	167	101

Source: Company, Anand Rathi Research

Firstsource Solutions - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	765	944	1,081	1,196	1,301
Growth (%)	1.9	23.4	14.5	10.7	8.8
Net revenues (Rs m)	63,325	79,721	96,161	1,13,257	1,23,212
Employee & Direct Costs	39,089	49,958	55,903	65,129	70,480
Gross Profit	24,237	29,763	40,258	48,128	52,732
Gross Margin %	38.3	37.3	41.9	42.5	42.8
SG&A	14,710	17,769	24,099	28,030	30,827
EBITDA	9,527	11,994	16,159	20,098	21,905
EBITDA margins (%)	15.0	15.0	16.8	17.7	17.8
- Depreciation	2,602	3,270	4,341	4,974	5,151
Other income	406	162	-523	-523	117
Interest Exp	1,034	1,479	1,815	1,308	1,112
PBT	6,297	7,407	8,499	13,292	15,758
Effective tax rate (%)	18	20	21	23	25
+ Associates/(Minorities)	1	0	0	-0	-0
Net Income	5,148	5,945	6,744	10,235	11,819
WANS	703	705	711	711	711
FDEPS (Rs/share)	7.3	8.4	9.5	14.4	16.6

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	6,297	7,407	8,499	13,292	15,758
+ Non-cash items	3,273	5,767	8,621	6,180	6,146
Operating profit before WC	9,570	13,174	17,119	19,472	21,905
- Incr./((decr.) in WC	2,404	4,944	3,082	1,566	-68
Others incuding taxes	-718	-1,219	-1,897	-6,732	-4,157
Operating cash-flow	6,448	7,011	12,140	11,174	17,816
- Capex (tangible + Intangible)	851	2,412	1,957	2,305	2,508
Free cash-flow	5,597	4,599	10,183	8,869	15,308
Acquisitions	-583	-5,099	-2,638	-525	-
- Dividend (including buyback & taxes)	2,406	2,759	3,801	4,304	4,735
+ Equity raised	-	-	-	-	-
+ Debt raised	-291	6,787	2,019	-3,685	-2,967
- Fin Investments	-416	160	-175	-	-
- Misc. Items (CFI + CFF)	2,501	3,574	4,892	1,205	995
Net cash-flow	232	-206	1,044	-851	6,611

Source: Company, Anand Rahi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	6,970	6,970	6,970	6,970	6,970
Net worth	37,004	40,976	43,845	50,338	57,422
Total debt (incl. Pref)	8,123	15,327	19,375	15,689	12,722
Minority interest	4	4	4	4	4
DTL/(Asset)	-2,259	-1,803	-2,920	-2,920	-2,920
Capital employed	42,872	54,504	60,304	63,112	67,229
Net tangible assets	7,996	11,889	11,662	11,480	11,412
Net Intangible assets	649	9,162	16,122	15,160	13,584
Goodwill	29,885	28,885	27,885	27,447	26,447
CWIP (tang. & intang.)	171	491	299	299	299
Long-term Assets (Liabilities)	2,911	2,991	4,146	4,353	4,571
Investments (Financial)	552	859	1,266	1,266	1,266
Current Assets (ex Cash)	13,189	19,955	24,429	27,895	29,393
Cash	1,748	1,542	2,586	1,735	8,346
Current Liabilities	14,229	21,270	28,090	26,523	28,090
Working capital	-1,040	-1,315	-3,661	1,372	1,304
Capital deployed	42,872	54,504	60,304	63,112	67,229
			-	-0.0	0.0

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	33.3	28.8	22.9	16.7	14.5
EV/EBITDA (x)	19.1	15.1	11.2	9.0	8.3
EV/sales (x)	2.9	2.3	1.9	1.6	1.5
P/B (x)	4.6	4.1	3.9	3.4	3.0
RoE (%)	14.6	15.2	15.9	21.7	21.9
RoCE (%) - After tax	11.0	11.4	12.7	14.9	15.7
RoIC (%) - After tax	11.5	11.8	13.3	15.6	17.1
DPS (Rs per share)	3.5	4.0	5.5	6.1	6.7
Dividend yield (%)	1.5	1.7	2.3	2.5	2.8
Dividend payout (%) - Inc. DDT	48	47	58	42	40
Net debt/equity (x)	0.2	0.3	0.4	0.3	0.1
Receivables (days)	67	77	79	78	77
Inventory (days)					
Payables (days)	21	21	25	25	25
CFO:PAT%	125	118	180	109	151
FCF:PAT% - includ M&A payout	97	-8	112	82	130

Source: Company, Anand Rahi Research

BirlaSoft - Financials

Fig 1 – Income statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenues (US\$m)	635	635	598	593	630
Growth (%)	6.8	0.0	-6.0	-0.8	6.2
Net revenues (Rs m)	52,781	53,752	53,100	56,118	59,597
Employee & Direct Costs	39,403	41,636	39,267	42,376	44,730
Gross Profit	13,379	12,116	13,832	13,742	14,867
Gross Margin %	25.35	22.54	26.05	24.49	24.95
SG&A	5,017	5,142	5,172	5,408	5,695
EBITDA	8,362	6,974	8,660	8,333	9,171
EBITDA margins (%)	15.8	13.0	16.3	14.8	15.4
- Depreciation	850	857	803	795	811
Other income	1,035	1,085	648	-2	271
Interest Exp	199	234	196	154	154
PBT	8,348	6,968	8,309	7,382	8,477
Effective tax rate (%)	25	26	34	29	29
+ Associates/(Minorities)	-	-	-	-	-
Net Income	6,238	5,168	5,184	5,241	6,019
WANS	281	278	282	282	282
FDEPS (Rs/share)	22.2	18.6	18.4	18.6	21.3

Fig 3 – Cash Flow statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	8,348	6,968	8,309	7,382	8,477
+ Non-cash items	1,372	641	383	952	866
Operating profit before WC	9,720	7,609	8,692	8,333	9,343
- Incr./ (decr.) in WC	730	-144	955	60	11
Others including taxes	-1,807	-1,878	-2,927	-2,141	-2,536
Operating cash-flow	7,182	5,875	4,809	6,133	6,796
- Capex (tangible + Intangible)	262	486	444	469	498
Free cash-flow	6,920	5,389	4,366	5,664	6,299
Acquisitions	-	-	-	-	-
- Dividend (including buyback & taxes)	1,240	1,796	1,808	2,566	2,946
+ Equity raised	99	106	59	-	-
+ Debt raised	-	111	-30	31	-
- Fin Investments	6,467	4,376	1,554	-	447
- Misc. Items (CFI + CFF)	55	89	42	-140	-271
Net cash-flow	-743	-655	990	3,269	3,176

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)					
Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	552	556	559	559	551
Net worth	30,441	34,782	41,131	43,806	46,878
Total debt (incl. Pref)	-	114	83	114	114
Minority interest	-	-	-	-	-
DTL/(Asset)	-1,042	-1,142	-1,411	-1,375	-1,335
Capital employed	29,399	33,755	39,803	42,545	45,657
Net tangible assets	1,919	2,306	2,333	2,007	1,693
Net Intangible assets	5,052	5,310	6,012	6,012	6,012
Goodwill	4,568	4,568	4,568	4,568	4,568
CWIP (tang. & intang.)	116	49	18	18	18
Investments (Strategic)					
Investments (Financial)	13,519	18,902	22,358	22,358	22,805
Current Assets (ex Cash)	13,441	13,449	15,907	16,594	17,469
Cash	3,926	3,271	4,260	7,529	10,705
Current Liabilities	8,574	9,532	11,086	11,974	13,046
Working capital	4,867	3,917	4,821	4,621	4,423
Capital deployed	29,399	33,754	39,804	42,545	45,657
Contingent Liabilities	1,497	1,200	-	-	-

Fig 4 – Ratio analysis					
Year end Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	12.8	15.4	15.4	15.2	13.3
EV/EBITDA (x)	6.7	8.1	6.5	6.8	6.2
EV/sales (x)	1.1	1.0	1.1	1.0	0.9
P/B (x)	2.6	2.3	1.9	1.8	1.7
RoE (%)	22.7	15.8	13.7	12.3	13.3
RoCE (%) - After tax	19.1	13.0	12.6	11.7	12.1
RoIC (%) - After tax	37.3	30.1	31.5	30.7	34.5
DPS (Rs per share)	6.5	6.5	9.0	9.1	10.4
Dividend yield (%)	2.3	2.3	3.2	3.2	3.7
Dividend payout (%) - Inc. DDT	29.3	35.0	49.0	49.0	49.0
Net debt/equity (x)	-0.6	-0.6	-0.6	-0.7	-0.7
Receivables (days)	72	67	83	82	81
Inventory (days)					
Payables (days)	23	18	21	21	21
CFO:PAT%	115	114	93	117	113
FCF:PAT% - includ M&A payout	111	104	84	108	105

Source: Company, Anand Rathi Research

KPIT Technology - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	587	691	725	728	789
Growth (%)	40.3	17.7	4.8	0.5	8.3
Net revenues (Rs m)	48,715	58,423	64,549	68,960	74,652
Employee & Direct Costs	33,227	38,791	41,880	44,906	47,774
Gross Profit	15,488	19,632	22,670	24,054	26,878
Gross Margin %	31.79	33.60	35.12	34.88	36.00
SG&A	5,577	7,336	9,215	10,645	11,689
EBITDA	9,911	12,296	13,455	13,409	15,189
EBITDA margins (%)	20.3	21.0	20.8	19.4	20.3
- Depreciation	1,958	2,250	3,006	3,361	3,498
Other income	603	1,673	-21	615	882
Interest Exp	548	424	737	838	796
PBT	8,008	11,296	9,095	9,826	11,778
Effective tax rate (%)	25	26	26	26	26
+ Associates/(Minorities)	-45	28	-376	-168	-109
Net Income	5,944	8,394	6,372	7,122	8,630
WANS	273	274	274	274	274
FDEPS (Rs/share)	21.8	30.7	23.2	26.0	31.5

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	8,008	11,296	9,095	9,826	11,778
+ Non-cash items	2,510	2,482	5,071	3,361	3,498
Operating profit before WC	10,518	13,778	14,166	13,187	15,276
- Incr./(decr.) in WC	-1,625	-1,551	-749	707	1,018
Others including taxes	-2,125	-1,434	-2,967	-2,313	-3,126
Operating cash-flow	10,018	13,895	11,948	10,166	11,131
- Capex (tangible + Intangible)	1,553	1,295	1,426	1,351	1,276
Free cash-flow	8,464	12,600	10,522	8,815	9,856
Acquisitions	-3,286	-2,066	-5,816	-4,828	-3,787
- Dividend (including buyback & taxes)	1,287	1,928	1,447	2,187	2,651
+ Equity raised	-	-	-	-	-
+ Debt raised	-156	-393	2,336	-	-
- Fin Investments	428	1,441	-2,101	-	-
- Misc. Items (CFI + CFF)	342	1,476	6,743	-2	-86
Net cash-flow	2,965	5,297	953	1,802	3,504

Source: Company, Anand Rahi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	2,712	2,717	2,722	2,722	2,722
Net worth	21,459	29,122	35,409	40,345	46,323
Total debt (incl. Pref)	447	15	4,622	4,622	4,622
Minority interest	171	-	80	247	356
DTL/(Asset)	-788	-783	-1,355	-1,355	-1,355
Capital employed	21,289	28,354	38,759	43,863	49,950
Net tangible assets	5,434	6,031	6,267	6,273	6,150
Net Intangible assets	2,837	6,330	28,802	33,309	36,099
Goodwill	11,463	7,451	4,843	3,148	2,046
CWIP (tang. & intang.)	5	94	4	4	4
Longterm assets (Liabilities)	-5,302	-2,491	-6,782	-6,782	-6,782
Investments (Financial)	1,561	4,685	993	993	993
Current Assets (ex Cash)	11,596	12,038	15,062	15,997	17,214
Cash	7,705	10,743	13,408	14,986	18,491
Current Liabilities	14,006	16,434	23,839	24,066	24,266
Working capital	-2,410	-4,396	-8,777	-8,070	-7,051
Capital deployed	21,289	28,354	38,759	43,863	49,950
Contingent Liabilities	177	-	-	-	-
	0.0	0.0	-0.0	-0.0	-0.1

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	25.8	18.2	24.0	21.5	17.8
EV/EBITDA (x)	14.4	11.6	10.6	10.6	9.4
EV/sales (x)	2.9	2.3	2.2	2.0	1.8
P/B (x)	7.1	5.3	4.3	3.8	3.3
RoE (%)	31.3	33.2	19.8	18.8	19.9
RoCE (%) - After tax	23.3	24.2	18.8	14.5	15.3
RoIC (%) - After tax	33.7	40.4	29.4	20.7	22.2
DPS (Rs per share)	6.7	8.5	7.5	9.1	11.0
Dividend yield (%)	1.2	1.5	1.3	1.6	2.0
Dividend payout (%) - Inc. DDT	30.8	27.7	32.3	35.0	35.0
Net debt/equity (x)	-0.4	-0.5	-0.3	-0.3	-0.3
Receivables (days)	72	56	61	60	60
Inventory (days)					
Payables (days)	23	14	19	19	19
CFO:PAT%	167	166	177	139	127
FCF:PAT% - includ M&A payout	87	125	74	56	70

Source: Company, Anand Rahi Research

Mastek - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenues (US\$m)	368	408	421	436	472
Growth (%)	15.8	10.9	3.1	3.4	8.4
Net revenues (Rs m)	30,548	34,552	36,988	41,247	44,714
Employee & Direct Costs	23,445	26,148	28,722	32,517	35,067
Gross Profit	11,162	11,977	12,542	13,724	14,931
Gross Margin %	36.5	34.7	33.9	33.3	33.4
SG&A	6,075	6,512	6,686	7,221	7,799
EBITDA	5,087	5,465	5,856	6,504	7,132
EBITDA margins (%)	16.7	15.8	15.8	15.8	16.0
- Depreciation	899	751	726	757	788
Other income	160	223	704	609	634
Interest Exp	445	421	320	288	288
PBT	3,903	4,592	5,212	6,068	6,690
Effective tax rate (%)	19	18	22	25	25
+ Associates/(Minorities)	-107	-	-	-	-
Net Income	3,044	3,759	4,040	4,569	5,038
WANS	31	31	31	31	31
FDEPS (Rs/share)	98.7	121.5	129.3	146.3	161.3

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	3,903	4,592	5,212	6,068	6,690
+ Non-cash items	1,603	1,290	794	148	154
Operating profit before WC	5,506	5,882	6,006	6,216	6,845
- Incr./ (decr.) in WC	237	710	-1,081	818	524
Others including taxes	-1,069	-1,208	-1,670	-1,499	-1,653
Operating cash-flow	4,199	3,964	5,417	3,899	4,668
- Capex (tangible + Intangible)	315	201	280	312	338
Free cash-flow	3,885	3,763	5,137	3,587	4,330
Acquisitions	-2,050	-2,055	-	-	-
- Dividend (including buyback & taxes)	581	587	743	821	901
+ Equity raised	4	3	2	0	0
+ Debt raised	911	436	-1,938	-	-
- Fin Investments	291	692	483	-	-
- Misc. Items (CFI + CFF)	133	81	-461	-609	-634
Net cash-flow	1,745	789	2,436	3,376	4,062

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	154	155	155	155	155
Net worth	21,004	24,623	29,919	33,667	37,804
Total debt (incl. Pref)	4,866	5,552	4,214	4,214	4,214
Minority interest	-	-	-	-	-
DTL/(Asset)	-732	-1,229	-1,934	-1,934	-1,934
Capital employed	25,138	28,946	32,199	35,947	40,084
Net tangible assets	881	822	712	569	435
Net Intangible assets	2,546	-769	547	244	-71
Goodwill	16,072	18,127	18,127	18,127	18,127
CWIP (tang. & intang.)	9	18	16	16	16
Other Long term Assets/(Liabilities)	-1,342	-580	-880	-880	-880
Investments (Financial)	938	1,780	2,340	2,340	2,340
Current Assets (ex Cash)	10,841	11,583	11,752	12,600	13,089
Cash	3,826	4,615	7,051	10,427	14,490
Current Liabilities	8,635	6,651	7,466	7,496	7,461
Working capital	2,206	4,932	4,286	5,104	5,628
Capital deployed	25,138	28,946	32,199	35,947	40,084

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	16.6	13.4	11.8	11.0	10.0
EV/EBITDA (x)	9.5	8.9	8.3	7.5	6.8
EV/sales (x)	1.6	1.4	1.3	1.2	1.1
P/B (x)	2.4	2.0	1.7	1.5	1.3
RoE (%)	16.1	16.5	14.8	14.4	14.1
RoCE (%) - After tax	12.5	12.9	11.8	11.5	11.5
RoIC (%) - After tax	14.6	15.9	15.5	16.4	17.9
DPS (Rs per share)	19.0	23.0	24.0	26.3	28.8
Dividend yield (%)	1.2	1.4	1.5	1.6	1.8
Dividend payout (%) - Inc. DDT	19.3	18.9	18.6	18.0	17.9
Net debt/equity (x)	0.0	-0.0	-0.2	-0.3	-0.3
Receivables (days)	109	102	100	99	98
Inventory (days)					
Payables (days)	32	26	24	22	20
CFO:PAT%	133	105	134	85	93
FCF:PAT% - includ M&A payout	60	45	127	79	86

Source: Company, Anand Rathi Research

Sonata Software - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	1,042	1,203	1,209	1,201	1,338
Growth (%)	11.3	15.5	0.5	-0.7	11.4
Net revenues (Rs m)	86,131	1,01,573	1,07,013	1,13,594	1,26,509
Employee & Direct Costs	71,543	86,795	93,606	99,091	1,11,274
Gross Profit	14,588	14,778	13,406	14,503	15,235
Gross Margin %	16.94	14.55	12.53	12.77	12.04
SG&A	7,314	7,881	5,994	6,558	6,395
EBITDA	7,274	6,896	7,412	7,945	8,840
EBITDA margins (%)	8.4	6.8	6.9	7.0	7.0
- Depreciation	1,319	1,215	1,043	1,025	1,025
Other income	-491	708	417	383	306
Interest Exp	850	653	514	574	574
PBT	4,614	5,737	6,273	6,729	7,547
Effective tax rate (%)	33	26	26	26	26
+ Associates/(Minorities)	-	-	-	-	-
Net Income	3,085	4,247	4,644	4,977	5,582
WANS	278	278	278	278	278
FDEPS (Rs/share)	11.1	15.3	16.7	17.9	20.1

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	4,614	5,737	6,273	6,729	7,547
+ Non-cash items	2,909	1,312	926	1,217	1,294
Operating profit before WC	7,522	7,049	7,199	7,945	8,841
- Incr./(decr.) in WC	2,094	-1,030	96	-378	-512
Others incuding taxes	-2,623	-1,636	-1,723	-1,552	-1,745
Operating cash-flow	2,805	6,443	5,380	6,772	7,608
- Capex (tangible + Intangible)	254	685	1,136	773	781
Free cash-flow	2,552	5,758	4,244	6,000	6,827
Acquisitions	-726	-5,919	-2,993	-	-
- Dividend (including buyback & taxes)	2,189	1,226	2,232	2,352	2,638
+ Equity raised	-	-	-	0	0
+ Debt raised	6,404	-488	-	-1,421	-1,065
- Fin Investments	150	-1,595	-1,860	-2,115	-212
- Misc. Items (CFI + CFF)	4,704	1,980	253	191	268
Net cash-flow	1,186	-2,260	625	4,151	3,067

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	278	278	277	277	277
Net worth	14,063	17,059	19,046	21,672	24,616
Total debt (incl. Pref)	6,743	4,416	5,682	4,262	3,196
Minority interest	-0	-0	-0	-0	-0
DTL/(Asset)	-2,239	-2,360	-2,437	-2,328	-2,207
Capital employed	18,567	19,115	22,291	23,605	25,605
Net tangible assets	1,327	1,036	2,049	2,309	2,577
Net Intangible assets	13,176	13,052	14,722	14,210	13,697
Goodwill	2,207	2,207	2,207	2,207	2,207
CWIP (tang. & intang.)	-	-	-	-	-
Long-term Assets (Liabilities)	-770	-511	-1,268	-1,358	-1,458
Investments (Financial)	5,740	3,880	2,351	235	24
Current Assets (ex Cash)	19,785	20,372	21,683	22,293	24,022
Cash	5,360	3,100	3,725	7,877	10,943
Current Liabilities	28,258	24,021	23,178	24,167	26,407
Working capital	-8,473	-3,649	-1,495	-1,874	-2,385
Capital deployed	18,567	19,115	22,291	23,605	25,605
Contingent Liabilities	7,804	7,470	-	-	-
	-0	0	0	0	0

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	24.9	18.1	16.6	15.4	13.8
EV/EBITDA (x)	11.0	11.6	10.8	10.0	9.0
EV/sales (x)	0.9	0.8	0.7	0.7	0.6
P/B (x)	5.5	4.5	4.0	3.5	3.1
RoE (%)	22.8	27.3	25.7	24.4	24.1
RoCE (%) - After tax	16.8	18.0	18.4	18.0	19.1
RoIC (%) - After tax	29.8	29.3	24.7	23.9	27.9
DPS (Rs per share)	7.9	4.4	7.9	8.5	9.5
Dividend yield (%)	2.9	1.6	2.9	3.1	3.4
Dividend payout (%) - Inc. DDT	71.1	28.8	47.3	47.3	47.3
Net debt/equity (x)	-0.3	-0.2	-0.0	-0.2	-0.3
Receivables (days)	73	66	67	66	66
Inventory (days)					
Payables (days)	66	60	66	66	66
CFO:PAT%	91	152	116	136	136
FCF:PAT% - includ M&A payout	59	-4	27	121	122

Source: Company, Anand Rathi Research

Intellect Design Arena - Financials

Fig 1 – Income statement (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenues (US\$m)	303	295	341	371	410
Growth (%)	9.0	-2.5	15.6	8.7	10.5
Net revenues (Rs m)	25,064	25,000	30,382	35,120	38,808
Employee & Direct Costs	15,666	15,636	19,247	20,887	22,733
Gross Profit	9,399	9,364	11,134	14,233	16,076
Gross Margin %	37.50	37.45	36.65	40.53	41.42
SG&A	3,980	4,058	5,330	5,837	6,193
EBITDA	5,418	5,306	5,805	8,396	9,883
EBITDA margins (%)	21.6	21.2	19.1	23.9	25.5
- Depreciation	1,372	1,564	2,089	2,373	2,509
Other income	440	747	1,257	802	700
Interest Exp	26	42	63	85	85
PBT	4,460	4,447	4,909	6,740	7,988
Effective tax rate (%)	28	25	25	26	26
+ Associates/(Minorities)	12	-26	22	-16	-43
Net Income	3,212	3,328	3,454	4,983	5,881
WANS	141	141	146	146	146
Adj. EPS (Rs/share)	22.1	22.0	24.1	34.0	40.5

Fig 3 – Cash Flow statement (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	4,460	4,447	4,909	6,740	7,988
+ Non-cash items	1,959	1,790	2,676	1,656	1,895
Operating profit before WC	6,419	6,237	7,586	8,396	9,883
- Incr./(decr.) in WC	1,304	935	1,464	1,755	668
Others including taxes	-1,013	-988	-1,017	-1,741	-2,063
Operating cash-flow	4,101	4,314	5,105	4,900	7,151
- Capex (tangible + Intangible)	1,730	1,718	2,195	2,704	2,788
Free cash-flow	2,372	2,595	2,910	2,196	4,363
Acquisitions	-	-	-	-	-
- Dividend (including buyback & taxes)	337	482	963	1,473	1,739
+ Equity raised	6	10	4	-	-
+ Debt raised	0	-0	0	-0	-
- Fin Investments	1,140	1,119	840	-	-
- Misc. Items (CFI + CFF)	-159	-237	-174	120	-614
Net cash-flow	1,059	1,241	1,285	603	3,238

Source: Company, Anand Rahi Research

Fig 2 – Balance sheet (Rs m)

Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	684	694	698	698	698
Net worth	24,389	27,858	31,701	35,210	39,353
Total debt (incl. Pref)	0	-	0	-	-
Minority interest	123	310	291	308	351
DTL/(Asset)	-480	-427	-401	-368	-368
Capital employed	24,032	27,741	31,591	35,150	39,335
Net tangible assets	2,060	2,407	3,286	3,715	4,201
Net Intangible assets					
Goodwill	7,216	7,890	8,430	8,332	8,125
CWIP (tang. & intang.)	10	19	150	150	150
Investments (Strategic)	-0	-0	-0	-0	-0
Investments (Financial)	5,758	6,970	8,047	8,047	8,047
Current Assets (ex Cash)	16,077	17,315	20,438	23,290	25,427
Cash	1,998	3,239	4,524	5,128	8,366
Current Liabilities	9,088	10,099	13,284	13,512	14,980
Working capital	6,990	7,216	7,154	9,778	10,447
Capital deployed	24,032	27,741	31,591	35,150	39,335

Fig 4 – Ratio analysis

Year end Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	35.8	34.5	32.7	23.1	19.4
EV/EBITDA (x)	19.5	19.9	18.2	12.6	10.7
EV/sales (x)	4.21	4.22	3.47	3.01	2.72
P/B (x)	4.7	4.1	3.6	3.3	2.9
RoE (%)	14.3	12.7	11.6	14.9	15.8
RoCE (%) - After tax	12.5	10.3	8.7	12.5	13.9
RoIC (%) - After tax	17.5	15.3	13.5	19.5	22.4
DPS (Rs per share)	3.5	7.0	7.0	10.1	11.9
Dividend yield (%)	0.4	0.9	0.9	1.3	1.5
Dividend payout (%) - Inc. DDT	15.8	31.9	29.1	29.7	29.4
Net debt/equity (x)	-0.3	-0.4	-0.4	-0.4	-0.4
Receivables (days)	201	221	218	216	214
Inventory (days)					
Payables (days)	39	31	28	28	28
CFO:PAT%	128	129	149	98	121
FCF:PAT% - includ M&A payout	74	78	84	44	74

Source: Company, Anand Rahi Research

Happiest Minds - Financials

Fig 1 – Income statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenues (US\$m)	196	244	260	279	301
Growth (%)	10.3	24.2	6.8	7.2	7.9
Net revenues (Rs m)	16,247	20,608	23,151	26,405	28,495
Employee & Direct Costs	9,920	13,115	14,439	16,423	17,996
Gross Profit	6,326	7,494	8,712	9,982	10,500
Gross Margin %	38.9	36.4	37.6	37.8	36.8
SG&A	2,968	3,885	4,679	5,334	5,463
EBITDA	3,359	3,609	4,034	4,648	5,036
EBITDA margins (%)	20.7	17.5	17.4	17.6	17.7
- Depreciation	583	887	882	894	857
Other income	854	1,014	850	722	733
Interest Exp	423	995	974	859	816
PBT	3,207	2,741	2,842	3,616	4,096
Effective tax rate (%)	27	26	25	25	25
+ Associates/(Minorities) / Exceptional Items	140	-122	-	-	-
Net Income	2,484	1,911	2,126	2,703	3,062
WANS	148	152	152	152	152
Adj. FDEPS (Rs/share)	17.6	17.7	17.2	21.0	23.1

Fig 3 – Cash Flow statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	3,207	2,741	2,842	3,616	4,096
+ Non-cash items	249	943	1,104	1,031	940
Operating profit before WC	3,456	3,683	3,946	4,648	5,036
- Incr./(decr.) in WC	306	373	-111	-48	204
Others including taxes	-1,024	-946	-1,442	-913	-1,034
Operating cash-flow	2,126	2,364	2,614	3,783	3,798
- Capex (tangible + Intangible)	103	112	72	82	88
Free cash-flow	2,023	2,253	2,543	3,701	3,710
Acquisitions	-	-7,312	-	-2,225	-
- Dividend (including buyback & taxes)	-860	-859	-939	-1,239	-1,404
+ Equity raised	4,856	-	-	-	-
+ Debt raised	395	7,372	2,398	-	-
+ Fin Investments	-1,653	-3,463	-1,318	-	-
+ Misc. Items (CFI + CFF)	-5,313	1,749	-2,678	-137	-83
Net cash-flow	-553	-261	5	100	2,223

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)					
Year-end: Mar	FY24	FY25	FY26e	FY27e	FY28e
Share capital	299	300	301	301	301
Net worth	14,802	15,746	16,895	18,359	20,018
Total debt (including Pref)	4,424	11,609	14,127	14,127	14,127
Minority interest	-	-	-	-	-
DTL/(Asset)	-33	-231	-586	-586	-586
Capital employed	19,193	27,123	30,438	31,902	33,557
Net tangible assets	1,948	2,105	1,953	1,140	372
Net Intangible assets (incl. Goodwill)	2,182	10,008	9,783	12,008	12,008
Goodwill	-	-	-	-	-
CWIP (tangible and intangible)	1	-	-	-	-
Investments (Strategic)					
Investments (Financial)	12,218	12,895	12,966	12,966	12,966
Current Assets (ex Cash) Incl LT assets	4,819	6,676	9,373	10,227	10,739
Cash	1,147	1,191	1,197	1,297	3,520
Current Liabilities (ex ST Loan/Current Portion) i	3,122	5,753	4,837	5,739	6,046
Working capital	1,697	923	4,536	4,488	4,692
Capital deployed	19,193	27,123	30,438	31,902	33,557
Contingent Liabilities					

Fig 4 – Ratio analysis					
Year end Mar	FY24	FY25	FY26e	FY27e	FY28e
Adj. P/E (x)	19.9	19.8	20.3	16.7	15.1
EV/EBITDA (x)	15.3	14.2	12.7	11.0	10.2
EV/sales (x)	2.7	2.5	2.3	2.0	1.8
P/B (x)	3.6	3.4	3.2	2.9	2.7
RoE (%)	21.4	12.5	13.0	15.3	16.0
RoCE (%) - After tax	11.7	8.0	7.4	8.3	8.8
RoIC (%) - After tax	28.2	17.5	13.4	14.2	15.5
DPS (Rs per share)	5.8	6.0	6.4	8.1	9.2
Dividend yield (%)	1.6	1.7	1.8	2.3	2.6
Dividend payout (%) - Inc. DDT	34.4	47.8	45.8	45.8	45.8
Net debt/equity (x)	-0.6	-0.2	-0.0	-0.0	-0.1
Receivables (days)	83	90	85	84	83
Inventory (days)					
Payables (days)	22	23	18	18	18
CFO:PAT%	86	124	123	140	124
FCF:PAT% - includ M&A payout	81	-265	120	55	121

Source: Company, Anand Rathi Research

LatentView Analytics - Financials

Fig 1 – Income statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Revenues (US\$m)	77	100	120	132	149
Growth (%)	15.9	29.4	19.8	10.3	12.4
Net revenues (Rs m)	6,407	8,478	10,602	12,526	14,081
Employee & Direct Costs	4,339	5,609	7,015	8,670	9,720
Gross Profit	2,068	2,870	3,587	3,856	4,361
Gross Margin %	32.28	33.85	33.83	30.78	30.97
SG&A	708	982	1,178	1,148	1,217
EBITDA	1,360	1,888	2,409	2,708	3,144
EBITDA margins (%)	21.2	22.3	22.7	21.6	22.3
- Depreciation	97	293	409	430	447
Other income	737	758	758	732	890
Interest Exp	30	66	100	61	61
PBT	1,970	2,287	2,611	2,949	3,526
Effective tax rate (%)	19	24	23	25	25
+ Associates/(Minorities)	-	7	-40	-	-
Net Income	1,586	1,742	1,981	2,212	2,644
WANS	207	207	207	207	207
FDEPS (Rs/share)	7.6	8.4	9.6	10.7	12.8

Fig 3 – Cash Flow statement (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
PBT	1,970	2,287	2,611	2,949	3,526
+ Non-cash items	-560	-263	-247	430	447
Operating profit before WC	1,410	2,025	2,364	3,379	3,973
- Incr./(decr.) in WC	-46	191	-17	345	296
Others including taxes	-302	-528	-736	-1,408	-1,710
Operating cash-flow	1,154	1,305	1,645	1,626	1,966
- Capex (tangible + Intangible)	46	162	225	100	99
Free cash-flow	1,108	1,143	1,420	1,526	1,867
Acquisitions	-	-3,312	-11	-	-
- Dividend (including buyback & taxes)	-	311	414	462	552
+ Equity raised	-	-	-	-	-
+ Debt raised	-	-	-	-0	-0
- Fin Investments	2,107	1,474	338	-	-
- Misc. Items (CFI + CFF)	-1,605	-2,797	-192	-671	-829
Net cash-flow	615	-1,154	891	1,735	2,144

Source: Company, Anand Rathi Research

Fig 2 – Balance sheet (Rs m)					
Year-end: Mar	FY24	FY25	FY26	FY27e	FY28e
Share capital	206	206	207	207	207
Net worth	13,744	15,000	17,552	19,302	21,395
Total debt (including Pref)	2	1	0	0	0
Minority interest	-	370	287	287	287
DTL/(Asset)	-169	-48	-308	-308	-308
Capital employed	13,578	15,323	17,531	19,282	21,374
Net tangible assets	275	395	565	378	173
Net Intangible assets					
Goodwill	-	3,615	3,402	3,259	3,116
CWIP (tangible and intangible)	-	87	-	-	-
Investments (Strategic)					
Investments (Financial)	10,919	10,250	11,986	11,986	11,986
Current Assets (ex Cash) Incl LT assets	1,547	2,797	3,098	3,548	3,897
Cash	1,649	694	1,585	3,320	5,464
Current Liabilities (ex ST Loan/Current Portion) incl LT liabilities	812	2,515	3,105	3,210	3,263
Working capital	735	282	-7	338	634
Capital deployed	13,578	15,323	17,531	19,282	21,374
		-	-	-	-

Fig 4 – Ratio analysis					
Year end Mar	FY24	FY25	FY26	FY27e	FY28e
P/E (x)	36.7	33.5	26.5	24.7	20.9
EV/EBITDA (x)	34.8	25.1	19.6	17.5	15.1
EV/sales (x)	7.4	5.6	4.5	3.8	3.4
P/B (x)	4.2	3.9	3.3	3.0	2.7
RoE (%)	12.3	12.1	12.2	12.0	13.0
RoCE (%) - After tax	7.7	7.9	8.8	8.8	9.5
RoIC (%) - After tax	59.1	33.5	28.8	33.9	40.3
DPS (Rs per share)	-	1.5	2.0	2.2	2.7
Dividend yield (%)	-	0.5	0.7	0.8	1.0
Dividend payout (%) - Inc. DDT	-	17.9	20.9	20.9	20.9
Net debt/equity (x)	-0.9	-0.7	-0.8	-0.8	-0.8
Receivables (days)	72	83	86	85	84
Inventory (days)					
Payables (days)	7	11	9	10	10
CFO:PAT%	73	75	81	73	74
FCF:PAT% - incl M&A payout	70	-125	71	69	71

Source: Company, Anand Rathi Research

Appendix

Analyst Certification

The views expressed in this Research Report accurately reflect the personal views of the analyst(s) about the subject securities or issuers and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the research analyst(s) in this report. The research analysts are bound by stringent internal regulations and also legal and statutory requirements of the Securities and Exchange Board of India (hereinafter "SEBI") and the analysts' compensation are completely delinked from all the other companies and/or entities of Anand Rath, and have no bearing whatsoever on any recommendation that they have given in the Research Report.

Anand Rath Ratings Definitions

Analysts' ratings and the corresponding expected returns take into account our definitions of Large Caps, Mid Caps & Small Caps as described in the Ratings Table below:

Ratings Guide (12 months)	Buy	Hold	Sell
Large Caps (Top 100 companies)	>15%	0-15%	<0%
Mid Caps (101 st -250 th company)	>20%	0-20%	<0%
Small Caps (251 st company onwards)	>25%	0-25%	<0%

Research Disclaimer and Disclosure inter-alia as required under Securities and Exchange Board of India (Research Analysts) Regulations, 2014

Anand Rath Share and Stock Brokers Ltd. (hereinafter refer as ARSSBL) (Research Entity, SEBI Regn No. INH000000834, Date of Regn. 29/06/2015, BSE Enlistment Number - 5048 date of Regn 25 July 2024) is a subsidiary of the Anand Rath Financial Services Ltd. ARSSBL is a corporate trading and clearing member of Bombay Stock Exchange Ltd (BSE), National Stock Exchange of India Ltd. (NSEIL),Multi Commodity Exchange of India Limited (MCX),National Commodity & Derivatives Exchange Limited (NCDEX), and also depository participant with National Securities Depository Ltd (NSDL) and Central Depository Services Ltd. (CDSL), ARSSBL is engaged into the business of Stock Broking, Depository Participant, Mutual Fund distributor.

The research analysts, strategists, or research associates principally responsible for the preparation of Anand Rath research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors and firm revenues.

General Disclaimer: This Research Report (hereinafter called "Report") is meant solely for use by the recipient and is not for circulation. This Report does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. The recommendations, if any, made herein are expression of views and/or opinions and should not be deemed or construed to be neither advice for the purpose of purchase or sale of any security, derivatives or any other security through ARSSBL nor any solicitation or offering of any investment /trading opportunity on behalf of the issuer(s) of the respective security (ies) referred to herein. These information / opinions / views are not meant to serve as a professional investment guide for the readers. No action is solicited based upon the information provided herein. Recipients of this Report should rely on information/data arising out of their own investigations. Readers are advised to seek independent professional advice and arrive at an informed trading/investment decision before executing any trades or making any investments. This Report has been prepared on the basis of publicly available information, internally developed data and other sources believed by ARSSBL to be reliable. ARSSBL or its directors, employees, affiliates or representatives do not assume any responsibility for, or warrant the accuracy, completeness, adequacy and reliability of such information / opinions / views. While due care has been taken to ensure that the disclosures and opinions given are fair and reasonable, none of the directors, employees, affiliates or representatives of ARSSBL shall be liable for any direct, indirect, special, incidental, consequential, punitive or exemplary damages, including lost profits arising in any way whatsoever from the information / opinions / views contained in this Report. The price and value of the investments referred to in this Report and the income from them may go down as well as up, and investors may realize losses on any investments. Past performance is not a guide for future performance. ARSSBL does not provide tax advice to its clients, and all investors are strongly advised to consult with their tax advisers regarding taxation aspects of any potential investment.

Opinions expressed are our current opinions as of the date appearing on this Research only. We do not undertake to advise you as to any change of our views expressed in this Report. Research Report may differ between ARSSBL's RAs and/ or ARSSBL's associate companies on account of differences in research methodology, personal judgment and difference in time horizons for which recommendations are made. User should keep this risk in mind and not hold ARSSBL, its employees and associates responsible for any losses, damages of any type whatsoever.

ARSSBL and its associates or employees may, (a) from time to time, have long or short positions in, and buy or sell the investments in/ security of company (ies) mentioned herein or (b) be engaged in any other transaction involving such investments/ securities of company (ies) discussed herein or act as advisor or lender / borrower to such company (ies) these and other activities of ARSSBL and its associates or employees may not be construed as potential conflict of interest with respect to any recommendation and related information and opinions. Without limiting any of the foregoing, in no event shall ARSSBL and its associates or employees or any third party involved in, or related to computing or compiling the information have any liability for any damages of any kind.

Details of Associates of ARSSBL and Brief History of Disciplinary action by regulatory authorities & its associates are available on our website i.e. www.rathionline.com

Disclaimers in respect of jurisdiction: This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject ARSSBL to any registration or licensing requirement within such jurisdiction(s). No action has been or will be taken by ARSSBL in any jurisdiction (other than India), where any action for such purpose(s) is required. Accordingly, this Report shall not be possessed, circulated and/or distributed in any such country or jurisdiction unless such action is in compliance with all applicable laws and regulations of such country or jurisdiction. ARSSBL requires such recipient to inform himself about and to observe any restrictions at his own expense, without any liability to ARSSBL. Any dispute arising out of this Report shall be subject to the exclusive jurisdiction of the Courts in India.

Statements on ownership and material conflicts of interest, compensation - ARSSBL and Associates

Answers to the Best of the knowledge and belief of ARSSBL/ its Associates/ Research Analyst who is preparing this report

Research analyst or research entity or his associate or his relative has any financial interest in the subject company and the nature of such financial interest.	No
ARSSBL/its Associates/ Research Analyst/ his Relative have actual/beneficial ownership of one per cent or more securities of the subject company, at the end of the month immediately preceding the date of publication of the research report?	No
ARSSBL/its Associates/ Research Analyst/ his Relative have actual/beneficial ownership of one per cent or more securities of the subject company	No
ARSSBL/its Associates/ Research Analyst/ his Relative have any other material conflict of interest at the time of publication of the research report?	No
ARSSBL/its Associates/ Research Analyst/ his Relative have received any compensation from the subject company in the past twelve months	No
ARSSBL/its Associates/ Research Analyst/ his Relative have managed or co-managed public offering of securities for the subject company in the past twelve months	No
ARSSBL/its Associates/ Research Analyst/ his Relative have received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
ARSSBL/its Associates/ Research Analyst/ his Relative have received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
ARSSBL/its Associates/ Research Analyst/ his Relative have received any compensation or other benefits from the subject company or third party in connection with the research report	No
ARSSBL/its Associates/ Research Analyst/ his Relative have served as an officer, director or employee of the subject company.	No
ARSSBL/its Associates/ Research Analyst/ his Relative has been engaged in market making activity for the subject company.	No

NOTICE TO US INVESTORS:

This research report is the product of Anand Rath Share and Stock Brokers Limited, which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (U.S.) and are not associated person(s) of any U.S. regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a U.S. broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with U.S. rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account. Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the U.S. Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major U.S. Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any U.S. person which is not a Major U.S. Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major U.S. Institutional Investors, Anand Rath Share and Stock Brokers Limited has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: Banc Trust Securities USA. Transactions in securities discussed in this research report should be affected through Banc Trust Securities USA.

1. ARSSBL or its Affiliates may or may not have been beneficial owners of the securities mentioned in this report.
2. ARSSBL or its affiliates may have or not managed or co-managed a public offering of the securities mentioned in the report in the past 12 months.
3. ARSSBL or its affiliates may have or not received compensation for investment banking services from the issuer of these securities in the past 12 months and do not expect to receive compensation for investment banking services from the issuer of these securities within the next three months.
4. However, one or more of ARSSBL or its Affiliates may, from time to time, have a long or short position in any of the securities mentioned herein and may buy or sell those securities or options thereon, either on their own account or on behalf of their clients.
5. As of the publication of this report, ARSSBL does not make a market in the subject securities.
6. ARSSBL or its Affiliates may or may not, to the extent permitted by law, act upon or use the above material or the conclusions stated above, or the research or analysis on which they are based before the material is published to recipients and from time to time, provide investment banking, investment management or other services for or solicit to seek to obtain investment banking, or other securities business from, any entity referred to in this report.

© 2026. This report is strictly confidential and is being furnished to you solely for your information. All material presented in this report, unless specifically indicated otherwise, is under copyright to ARSSBL. None of the material, its content, or any copy of such material or content, may be altered in any way, transmitted, copied or reproduced (in whole or in part) or redistributed in any form to any other party, without the prior express written permission of ARSSBL. All trademarks, service marks and logos used in this report are trademarks or service marks or registered trademarks or service marks of ARSSBL or its affiliates, unless specifically mentioned otherwise.

As of the publication of this report, ARSSBL does not make a market in the subject securities.

Registration granted by SEBI, Enlistment as RA and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Additional information on recommended securities/instruments is available on request.